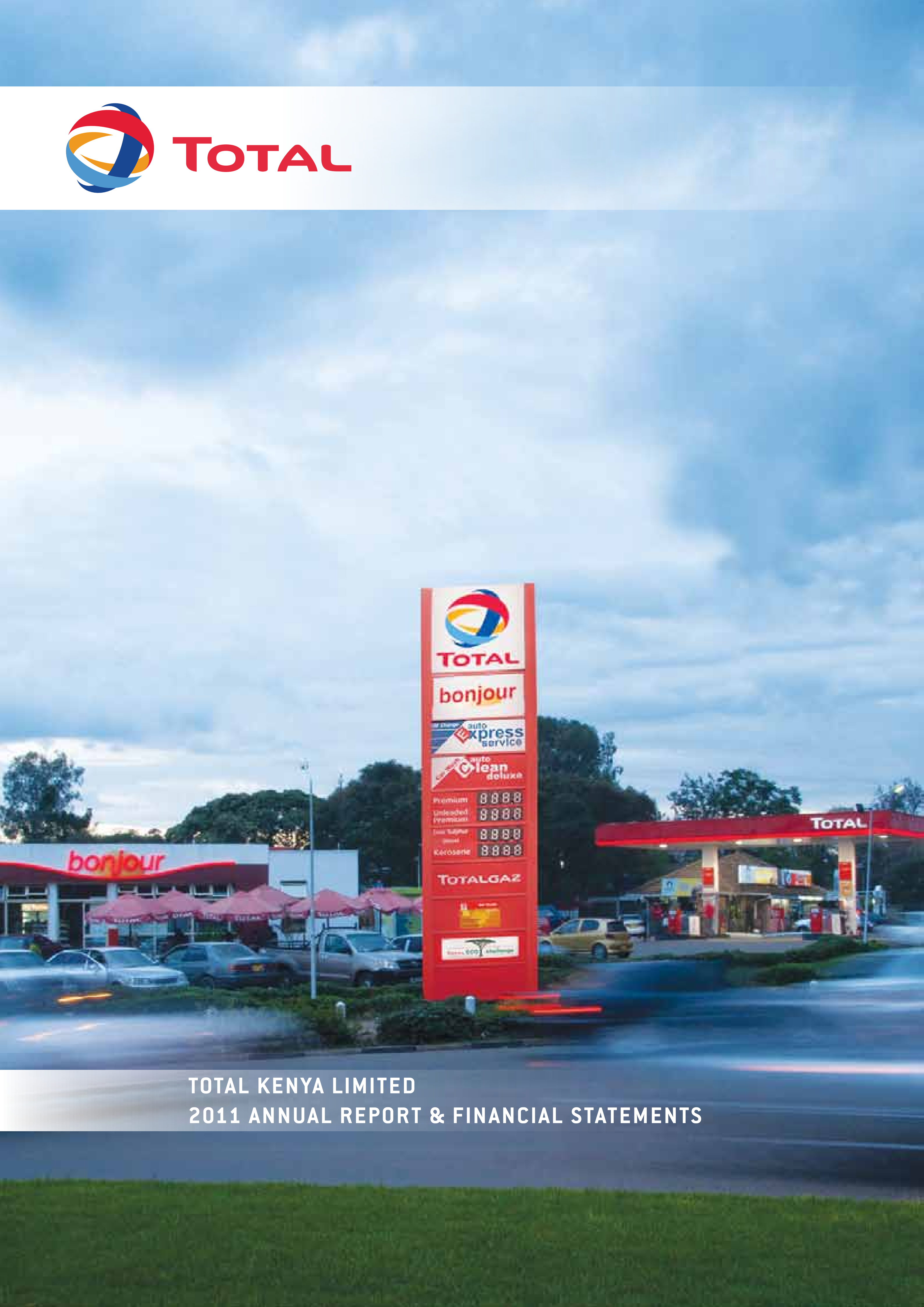
TOTAL



TOTAL KENYA LIMITED
2011 ANNUAL REPORT & FINANCIAL STATEMENTS

CONTENTS

Our Vision

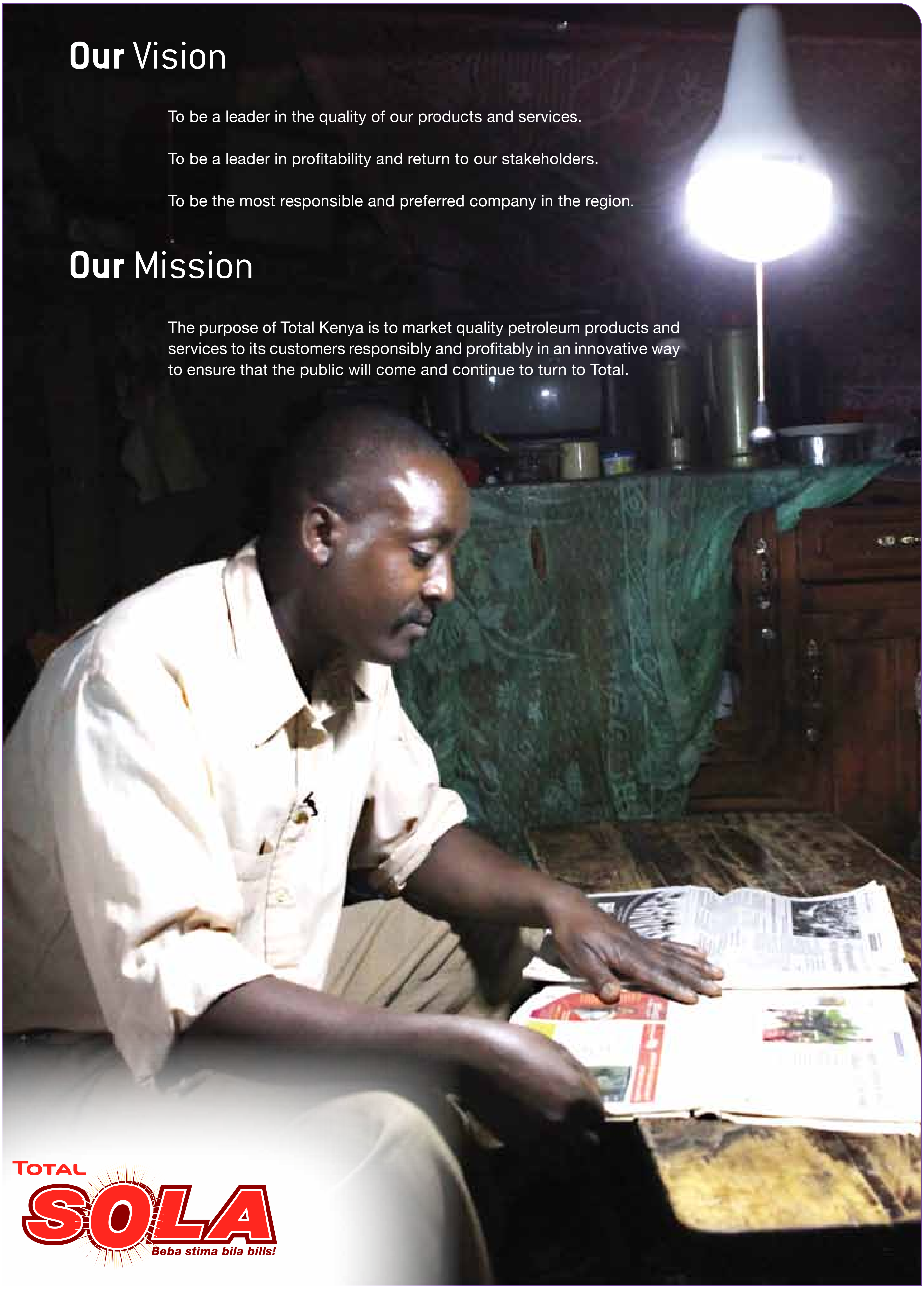
To be a leader in the quality of our products and services.

To be a leader in profitability and return to our stakeholders.

To be the most responsible and preferred company in the region.

Our Mission

The purpose of Total Kenya is to market quality petroleum products and services to its customers responsibly and profitably in an innovative way to ensure that the public will come and continue to turn to Total.



Notice is hereby given that the 58th Annual General Meeting of the Company will be held at the Kenyatta International Conference Center (KICC), Aberdares and Lenana Meeting rooms, Nairobi on Wednesday, 30 May 2012 at 10.00 a.m. to transact the following business:-

AGENDA

ORDINARY BUSINESS

1. To read the notice convening the meeting, table proxies and to confirm the presence of a quorum.
2. To confirm the minutes of the 57th Annual General Meeting held on 8 June 2011.
3. To receive the Chairman's Report.
4. To receive, consider and adopt the Financial Statements for the year ended 31 December 2011 together with the Chairman's Statement and the reports of the Directors and the Auditors thereon.
5. To note that the Directors do not recommend payment of a dividend in respect of the financial year ended 31 December 2011.
6. To approve the Directors' fees for the financial year ended 31 December 2011.
7. To appoint Messrs Ernst & Young as the Auditors of the Company for the Financial Year 2012 in place of Messrs Deloitte & Touche who will retire at this meeting and to authorise the Directors to fix their remuneration for the ensuing financial year.

8. SPECIAL BUSINESS

To consider and, if thought fit, to pass the following special resolutions as recommended by the Directors:

a) "that subject to obtaining the relevant regulatory approvals, the capital of the Company be increased from KShs 4,808,150,000/- divided into 181,630,000 ordinary shares of KShs 5/- each and 123,478,388 Redeemable Preference Shares of KShs 31.58 each to KShs 10,008,150,008/- divided into 181,630,000 ordinary shares of KShs 5/- each and 123,478,388 Redeemable Preference Shares of KShs 31.58 each and 330,999,364 New Redeemable Preference Shares of KShs 15.71 each, by the creation of 330,999,364 New Redeemable Preference Shares of KShs 15.71 each ('the New Redeemable Preference Shares' 1*) and having the rights set out in Article 7A of the articles of association of the Company."

b) "that subject to the relevant regulatory approvals being obtained, the Directors be and are hereby generally and unconditionally authorised to issue the New Redeemable Preference Shares to Total Outre Mer S.A. for a cash consideration of KShs 15.71 per the New Redeemable Preference Share."

c) that subject to the regulatory approvals being obtained, the articles of association of the Company be altered by replacing the existing Article 6 with the following new Article:

"the capital of the Company is KShs 10,008,150,008/- divided into 181,630,000 ordinary shares of KShs 5/- each and 123,478,388 Redeemable Preference Shares of KShs 31.58 each (having the rights defined in Article 7A) and 330,999,364 Redeemable Preference Shares of KShs 15.71 each (having the rights defined in Article 7A.)"

9. ANY OTHER BUSINESS

To transact any other business of which due notice has been received.

BY ORDER OF THE BOARD

J L G MAONGA
COMPANY SECRETARY

Date: 7 May 2012

NOTES:

1. The New Redeemable Preference Shares (The New RPS) rank pari passu in all respects with the Existing Redeemable Preference Shares. In this regard, they will be redeemable, non-voting, non-cumulative, non-convertible preference shares. The New Redeemable Preference Shares will have no priority (save in the event of liquidation) to the Ordinary Shares of the Company and the rights of ordinary shareholders of Total Kenya Limited (TKL) will in no way be adversely affected by the creation and issue of the New Redeemable Preference Shares to Total Outre Mer S.A. (TOM). Each New Redeemable Preference Share will qualify for the same monetary amount of dividends as each Ordinary Share in TKL. Further, TOM's percentage of voting rights will not change as a result of the issue of the New Redeemable Preference Shares. It is expected that the issue of the New Redeemable Preference shares will reduce the current short term loans and overdrafts and subsequently the finance costs that have negatively impacted the net income generated by the company. The price of the New RPS has been determined on the basis of the volume-weighted average price at which TKL's ordinary shares were quoted at the NSE for the 180 consecutive trading days ended 18th April 2012. The New RPS will therefore be issued for a cash consideration of 15.71 per new share.

2. A member entitled to attend and vote at this meeting is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the Company.

   A Proxy Form may be obtained from the Company's website www.total.co.ke, registered office of the Company, Regal Plaza, Limuru Road, Nairobi, P O Box 30736 – 00100 GPO Nairobi, or from the offices of the Company's Shares Registrars, Comprite Kenya Limited, Koinange Street, Rehani House, 8th Floor, Nairobi.

   To be valid, a Form of Proxy must be duly completed by the member and must either be lodged with the Company Secretary, P O Box 30736 – 00100 GPO Nairobi or the Shares Registrars, Comprite Kenya Limited, Koinange Street, Rehani House, 8th Floor, Nairobi, not later than 10.00 a.m. Monday 28 May 2012, failing which, it will be invalid. In the case of a corporate body, the proxy form must be executed under its common seal.

3. In accordance with Article 144(a) of the Articles of Association of the Company, a copy of the entire Annual Report and Accounts may be viewed at the Company's website at www.total.co.ke or a printed copy may be obtained from the Registered Office of the Company, Regal Plaza, Limuru Road, Nairobi, P O Box 30736 – 00100 GPO Nairobi.

Directors	Mr. Jean Papee * - Chairman Mr. Alexis Vovk* - Managing (Also alternate to Jean Papee as Chairman) Mr. Alain Champeaux* Mrs. Alice Mayaka Mrs. Sophie Nassir Mr. Patrick Waechter* - (Alternate to Alexis Vovk) Mr. Maurice K'Anjejo - (Alternate to Alain Champeaux) Mr. Daniel Mayieka - (Alternate to Sophie Nassir) * French
Secretary	J L G Maonga Certified Public Secretary (Kenya) P.O. Box 73248-00200 Nairobi Kenya
Head Office and Registered Office	Regal Plaza Limuru Road P. O. Box 30736–00100 Nairobi Kenya
Auditors	Deloitte & Touche Certified Public Accountants (Kenya) Deloitte Place Waiyaki Way, Muthangari P. O. Box 40092-00100 Nairobi Kenya
Advocates	Njoroge Regeru and Company P.O. Box 46856-00100 Nairobi Kenya
Bankers	Citibank NA P.O. Box 30711-00100 Nairobi Kenya
Registrars	Comprite Kenya Limited P.O. Box 63428-00619 Nairobi Kenya

The directors present their annual report together with the audited financial statements for the year ended 31 December 2011.

ACTIVITY

The principal activity of the company is the sale of petroleum products.

FINANCIAL RESULTS FOR THE YEAR

The results for the year are as follows:

	KShs '000
Profit before taxation	57,850
Taxation charge	(129,286)
Loss for the year transferred to retained earnings	(71,436)

DIRECTORS

The present membership of the Board is set out on page 3. On 6 September 2011, the following changes took place;
Mr. Jean Papee was appointed director and Chairman of the Company while Mr. Herve Allibert resigned as director and Chairman of the Company. On the same date Ms. Sophie Nassir was appointed director while Mr. Alain Vedier resigned as a director. Mr. Daniel Mayieka ceased to be alternate director to Mr. Alain Vedier on 6 September 2011 and was appointed alternate director to Ms. Sophie Nassir on the same date. On 30 September 2011, Mr. Franck Dessaintjean resigned as alternate director to Mr. Alexis Vovk while Mr. Patrick Waechter was appointed alternate director to Mr. Alexis Vovk.

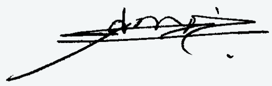
DIVIDEND

The directors are not recommending a dividend in respect of the year (2010 KShs 1.05).

AUDITORS

Deloitte & Touche have confirmed their willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap 486).

BY ORDER OF THE BOARD



Secretary
19 April 2012

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

Alexis Vovk	Patrick Waechter
Director	Director

27 March 2012




Jean PAPEE

Mr. Jean Papee aged 54, is a graduate of Ecole Polytechnique and Ecole Nationale Supérieure des Pétroles et Moteurs, he holds a Doctorate in Energy Economics and is an actuary. He first held various posts in BP France and in a French brokerage firm, then he joined the Total Group in 1991 in the Trading Division and became Shanghai Refinery JV Project Manager in China from 1992 to 1994. After several managerial positions in Marketing in France, in 2002 he was appointed Managing Director of Total Senegal and became Management and Information Systems Director in 2006 at the Refining Division in Paris. Since September 2009, he is Executive Vice-President for South-East Africa and Indian Ocean at Africa & Middle-East Division, Supply & Marketing. Jean Papée is a Knight of the French National Order of the Merit.

Alexis VOVK

Mr. Alexis VOVK, 47, holds a Masters Degree in Business Administration from ESSEC Business School Paris, France. He joined the Total Group in 1991 and has worked in several countries in different positions in Marketing and Strategy. In 2005 he was appointed Deputy Vice President for South East Africa and Indian Ocean, a position he held until 2007 when he moved to Total Zambia as Managing Director, a post he held until September 2010 when he was appointed Managing Director, Total Kenya.

Alice MAYAKA

Mrs. Alice K. Mayaka, CBS, OGW, aged 60 holds a BEd. (Sc) from the University of Nairobi; Postgraduate Diploma in Curriculum Development from Kenyatta University; and MSc. (HRD) from the University of Manchester, UK. In 1997, she was appointed an Assistant Director, Directorate of Personnel Management where she rose through the ranks to become Deputy Director before her appointment as Permanent Secretary in what is currently known as the Ministry of Heritage and Culture. Alice is also the Vice Chairman of Council, Kisii University College. She was appointed to the Total Kenya Board in October 2010.

Alain CHAMPEAUX

Mr. Alain Champeaux aged 62 holds an Engineering Degree from Ecole Nationale Superieure des Mines de Paris, France as well as Masters of Arts in Economics from Standford University, USA. He joined the Total Group in 1976. He has worked in several positions in Planning/ Budget/Investments Projects as well as in the Network Sector in Europe. He became the Senior Vice President Marketing Europe in 1995 and has been the Senior Vice President of Africa/Middle East since 2002

Sophie NASSIR

Mrs. Sophie NASSIR, aged 39, holds engineering degrees from IFP School and Ecole Nationale Supérieure des Mines de Nancy, France. She joined the Total Group in 1997 and has worked in Total Oil Trading (Geneva) and Total SA Group Treasury (Paris), as Middle Office Manager. She has worked in Finance Department of Total SA for 3 years where she gained experience in project and corporate finance.

Maurice K'ANJEJO

Mr. Maurice Odhiambo K'Anjejo aged 54 holds a Bachelor of Commerce Degree (Accounting) from the university of Nairobi. He started his career in Internal Audit at TPS Serena group upon graduation in 1983 before joining Total Kenya Limited in 1985 as Management Accountant. He has since held various responsibilities, including being Chief Accountant and Human Resources and Administration Manager. He was appointed the Corporate Affairs Manager in 2003, a post he holds to date.

Patrick WAECHTER

Mr. Patrick Waechter aged 46 has a MSc Degree in Finance and Controlling from Ecole Supérieure de Gestion (E.S.G). He worked in Total Outre-Mer as Department Manager for Accounting Treasury and Taxes for Africa and Middle East, Total Fluides as Finance and Administration Director for the special fluids business unit and Total Bitumen Deutschland (Germany) as Finance and Administration manager for the Bitumen Refining and Marketing. He was appointed the Finance Director of Total Kenya Limited in September 2011.

Daniel MAYIEKA

Mr. Daniel Minda Mayieka aged 41 holds a Bachelor of Commerce Degree from the University of Nairobi and has completed post graduate studies in Strategy and Strategic Management. He has 17 years experience in the Oil Industry having served in various capacities that include sales & marketing, Marketing Support and Customer Service among others. Before being appointed to his current role of Specialties Manager in 2009, he was responsible for all Commercial activities of Chevron in East Africa encompassing the countries of Kenya, Uganda and Tanzania.

J.L.G MAONGA

Mr. Maonga aged 51 has a B A Degree from Nairobi University and is a Certified Public Secretary. He is a member of the Institute of Certified Public Secretaries of Kenya and has over 20 years experience in Company Secretarial and Registration Services. He was appointed Company Secretary on 1st February 1999.

CORPORATE STATUS

Total Kenya Limited is part of the global Total Group, which is the fourth largest publicly traded integrated international oil and gas company in the world. Total is deeply rooted in Kenya's economy and society, with long-term investments amounting to many billions of shillings. Kenyans have a major stake in the company. Total has been operating in Kenya for the past 57 years; it was and still is the first multinational oil company to be quoted on the Nairobi Stock Exchange; and is a key part of Kenya's essential services infrastructure. It is one of the largest revenue generators for the exchequer, and has been a consistent leader in technical innovation, service quality and community project action.

CORE BUSINESS

Total Kenya's core business is the marketing and distribution of petroleum fuels and lubricants and related products to industry, transport, commercial and domestic users throughout Kenya.

MAINSTREAM PRODUCTS

Mainstream fuel products include automotive gasoline (petrol) and gasoil (diesel), liquefied petroleum gas (LPG), dual-purpose kerosene (DPK, both Illuminating kerosene and Jet A1), Aviation fuel (Avgas), Industrial diesel and Fuel Oil. The Company also markets Bitumen, which is a residue of the crude oil refining process from which all the other products are derived. The range of lubricants includes state-of-the-art grades of engine and transmission oils and greases for all applications in automotive and industrial machinery of all kinds.

The company also provides related products such as formulated coolants, distilled water, brake fluids, cleaning compounds and is now actively involved in the provision of clean energy solutions with the revolutionary solar lanterns that target mainly people not connected to the mains grid.

THE FACILITIES

All of Total's facilities conform to an international "Premier" standard, especially in relation to personnel, customer, environmental and user-equipment safety, through both built-in designs, the integrity of equipment, and strict operational codes. A lot of attention is paid to industrial safety with the key objective being the achievement of zero accidents in all facilities.

These systems are enforced by requirement, reinforced by training, and maintained by constant monitoring and special inspection.

At Total stations, for example, these standards apply to every aspect from construction of buildings to fail-safe wiring, underground seepage barriers, oil and grease traps, the integrity of equipment, the skill and discipline of personnel, supervision controls, and emergency response procedures.

Both design and operations ensure clean and spacious layouts, clear signage, smooth traffic flows, and efficient function. Staff is well trained and constantly up-graded.

PERSONNEL PERFORMANCE

All Total Kenya employees receive regular and specialist training. Teamwork, professionalism and energy are the corporate culture. Activities such as soccer, interdepartmental quizzes and mountain climbing are an integral part of the staff wellness and team building programs. This creates a performance ethic that ensures every task and service - whether at the reception desk of an office, the docking station of a depot or under-bonnet checks on a station forecourt - is friendly, proficient and quick.

STATION SERVICES

Total stations offer a wide and ever-increasing range of value added services - all delivered to the highest quality standards. All Total stations are both an oasis of services for travelers and an integral part of their local community.

BUSINESS CONDUCT

Total Kenya's own business is run to a high standard of integrity and professionalism in all respects, and all its investments, employment practices, health, safety and environment commitments as well as commercial dealings guarantee these qualities.

Total Kenya has achieved ISO 9001:2008 Certification (relating to customer-focused quality management and constant improvement throughout its network), ISO 14001:2011 (for environmental management) and ISSSRS Level 3 (excellent) rating in Safety Achievement. Total has a non-stop program to recertify, further upgrade and extend these systems in all its operations.

The company constantly innovates and invests - in people, equipment, and systems - to ensure it offers the best possible service to its customers in competitive value, reliable delivery, management and structural support and administrative efficiency.

INNOVATION

Creative thinking and action is more than just a buzzword at Total. It is an ever-present part of the Company's marketing strategy and performance delivery - a determination to make good products and services even better, to tailor both even more exactly to customer preferences, to respond to technical, market and lifestyle dynamics and to take a competitive position and add even more value.

Kenya's LPG market was limited to 12 kg cylinders for many decades. It was Total who introduced the more portable and lower-cost 6 kg Meko for lower-budget consumers, and added a simple stove attachment, and a light attachment, and then an even smaller Baby Meko. In parallel, Total invested heavily in high-capacity storage and the most sophisticated refilling facilities - as ever backing the idea with physical capacity and real performance.

The introduction of the affordable solar lanterns in the Kenyan market has not only taken a giant reap towards the provision of clean energy solutions to the Kenyan people but has also changed lives for people who were hitherto not connected to the mains grid and who could not afford alternative forms of lighting. The Total SOLA lanterns are truly revolutionary in this respect and have seen many people shift from the use of candles, tin lamps or wood fuel for their lighting needs with immense benefit both in terms of cost saving and comfort.

Lubrication bays are commonplace. Total upgraded the Pit Stop concept for an even faster and more thorough service, including a multiple-point diagnostic check. This has since been superseded by Auto Express Service with high-tech bulk oil dispensers to further cut time and costs for customers. Each of these evolutions has been accompanied by equipment upgrades and rigorous staff training.

Fuel cards have become universal currency. Total's Bon Voyage was the first to introduce SMART technology (which is programmable to enhance security and personalized flexibility) as opposed to the conventional magnetic strip.

Total did not simply buy title to the Kenya Motorshow. It was a partner in founding, designing and running the event, and a prime mover in its subsequent growth to international stature and regional pre-eminence.

The Total Eco Challenge is no off-the-peg project. Its concept and design, conceived and developed entirely by Total Kenya are unique. Its success is unprecedented in the promotion of tree planting, and it is also a best practice model for any sustainable development project.

That is the essence of Total Kenya. Being the best and always striving to be even better.

INTRODUCTION

Corporate Governance (CG) is the process by which companies are directed, controlled and held to account. CG standards are set to improve stakeholder value, by ensuring companies are responsibly structured and operated, are transparent and accountable in their conduct, and deliver accurate financial information.

Total Kenya Limited, through its Group and Company codes of conduct, complies with the highest CG standards, both nationally and internationally. CG standards and performance are regularly reviewed, to ensure the company is always up-to-date in this dynamic field, and strictly compliant.

Total Kenya rejects corruption in all its forms and has a robust anti-corruption policy. The company has appointed an Ethics Officer as well as a Compliance Officer with specific mandates to spearhead efforts towards eradicating corruption both internally and with third parties with direct dealings with the company. To create awareness and enforce compliance, the company conducts anti-corruption trainings targeting all employees using e-learning.

BOARD OF DIRECTORS

The Directors are appointed by the shareholders on a three-year term. They may stand for re-election. The current composition of the Board is given on page 3 of this report. Implementation of the Board's directives is delegated through a Management Committee, which comprises all heads of departments and an Audit Committee. The management structure has a clear framework and is governed by precise organisational procedures, in which all staff is specifically trained and which have built-in checks and controls.

AUDIT COMMITTEE

The Audit Committee established by the Board contains at least three directors and is headed by an independent, non-executive director. In selecting the members of the Committee, the Board pays particular attention to their financial and accounting qualifications and experience. During the year, members of the committee were:

Chairman	- Alice Mayaka
Member	- Patrick Waechter
Member	- Maurice K'Anjejo

The principal responsibilities of this Committee include reviewing financial reports, internal audit reports, management letters and other information it orders to be tabled. The Committee holds at least four formal meetings each year, which are also attended by the external auditors. It may also meet with the Managing Director, perform inspections and interview managers of the company at any time deemed appropriate or necessary.

MANAGEMENT COMMITTEE

This Committee, comprising the Managing Director and all the Heads of Departments, meets every fortnight to review performance, discuss issues, map out on-going operational strategies, and optimise co-ordination of all the Company's business processes. It serves as a channel for communication and feedback on issues that affect the business and performance of the Company in the short to medium term.

TENDER COMMITTEE

This Committee, focused on monitoring and evaluation of procurement policies, comprises the following people:

Finance Director	- Chairman
Corporate Affairs Manager	- Secretary and Member
Operations Manager	- Member
HSEQ Manager	- Member
HR & Admin Manager	- Member and Alternate Secretary
Marketing Manager	- Member

They ensure all tenders are conducted in an open and unbiased manner, in compliance with the laid down procedures. The Committee ensures the Company's procurement process conforms to The Group's standards and is independent of any interference.

COMMUNICATION WITH THE SHAREHOLDERS

The company provides timely and appropriate information to shareholders through publication of quarterly accounts and the Annual Report and holds an annual face-to-face briefing. Shareholders are also advised of all important events that impact the Company's operation.

RELATIONS WITH EMPLOYEES

Key activities include regular staff communication meetings, team building processes, performance evaluation and training, career management, safety briefs, regular staff communication bulletins (Flash) and a quarterly newsletter. In addition to these mechanisms, the company encourages dialogue and warm relations as part of the working culture of every employee.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

Total Kenya regards CSR as a fundamental and priority investment - in focus, time, resources and funding - in both its core business operations and in external programmes. The translation of these principles into practice is amplified in the Company Profile/Social Report section of this document.

MAJOR EXTERNAL PROGRAMMES EMBRACE ISSUES OF:

Environment- through the “Total Eco Challenge” campaign and sponsorship of major conservation efforts in partnership with the Rhino Ark Trust.

Health - through Total's “Be Alive” program and fight against malaria campaign for schools.

Culture- through the “Spotlight on Kenyan Music” and other cultural events.

Total Kenya is also an active member of leading business and sector federations, is the co-founder and title sponsor of the Total Kenya Motorshow, and has numerous other engagements in sports, social and charitable events as direct participants and/or through resource support. One such program is the adoption of two houses at the SOS Children Villages, one in Mombasa and one in Nairobi.

It should be emphasized that the principles, which these external projects champion, are also universally and deeply embedded in all of Total Kenya's internal operations. External CSR benefits from some of a company's time and some of a company's money. Internal operations embrace all of a company's time, and all its human, financial and physical resources. Total Kenya does not merely drive the ideas and promote the ideals of CSR with part of itself. It lives by them, in everything it does.

THE PRINCIPLES

Total believes CSR must be integral to the core business itself, as well as extending outside it. It is not enough to express the principles of CSR in bolt-on projects - they must be built-in to everything the company does.

Total Kenya tries to live by this self-imposed standard: The presence of Total in Kenya, and everything Total does in Kenya, must be of real and sustainable benefit to the country and its people.

Certainly, Total Kenya is a business, not a charity; the company's shareholders have invested to achieve the maximum sustainable return. But just as certainly, there are choices of how the company's objectives are met. It is those choices that truly determine a company's CSR commitment and value.

This ethos is so all-embracing that we do not make a distinction between our company profile and our social report. They are one.

IN PRACTICE

Total Kenya secures and distributes millions of litres of products per year. The company's "responsibility" extends to the specification and purity of every drop. Kenya's industrial and transport efficiency, individuals' personal property, human safety and environmental health depend on it.

Total Kenya has invested and re-invested for more than 55 years in infrastructure and equipment - bunkering, depots, bulk storage, transport systems, a national network of more than 160 stations - to ensure these products are readily available throughout Kenya, conveniently and competitively. The technical quality and operational performance of these systems (far above any statutory requirement) are the company's "responsibility".

All the people involved in all these systems are Total's responsibility - that their workplace is safe and healthy, that they have the skills and equipment to do the job expertly, that they are managed and motivated, that they have opportunity to advance, that they are treated with respect and that the company makes provision for their welfare and recognizes each one as part of a wider family and community. That applies to the close to 400 people directly employed by Total Kenya, and over 2000 who are part of Total Kenya's "extended family" of dealerships.

Further, as a major business and a quoted public company, Total Kenya recognizes that it has a responsibility to thousands of local shareholders, the national economy, the exchequer, the whole business sector, and as an engine of national performance and development.

Here, too, the company strives for nothing less than best practice in its business conduct and professionalism, its integrity, accountability, and its long-term commitment to national best interests.

In every respect, Total Kenya aims to achieve the maximum quality and benefit that is physically possible. The difference between the lowest standard permitted and the highest standard achievable is enormous. This commitment is strongly represented by the name of Total Kenya's in-house team spirit - "Total Attitude!"

IN ADDITION

Total Kenya looks beyond its business operations and relationships - what more can it do, where can it give the most effective help - in the pillar issues of environment, health, education, culture… These projects involve Total people as well as Total's money, and are carefully chosen for their real social merit.

ENVIRONMENT

Total Kenya passionately believes that the most important single factor in Kenya's welfare and future prospects is a healthy environment. If Kenya can look after its forests and lakes and rivers, and therefore its climate and soil and water security, it will be better able to face any and all internal and external challenges.

In counterpoint, if it fails to create and maintain a healthy environment, its future will be imperiled - come what may. These stark principles supersede any other topical detail of national policy or practice.

In parallel, Total Kenya believes the single greatest threat to Kenya's environment is deforestation (a critical mass of trees is crucial to stable climate, fresh air, abundant water and fertile soil). And yet, the current and foreseeable reality is that Kenya needs to use wood - in vast quantities - as a primary source of energy for cooking and heating, and as a raw material for production and construction.

In response to this dichotomy, Total Kenya has devised a unique campaign called the "Total Eco Challenge", to encourage the planting of trees for sustainable use! Through awareness, inspiration, awards, and technical support, the Total Eco Challenge has become the platform for the biggest tree-planting initiative Kenya has ever seen, so far embracing more than 5,000 projects directly involving over 3 million people, and planting a total of more than 600 million trees in its first decade of existence.

The target is to keep planting at least 100 million more trees per year, every year, forever. Total Kenya stands alongside the people of Kenya - every man, woman and child, every organization - in this commitment.

The Eco Challenge slogan of "Miti ni Mali, Miti Tosha" has been further focused in the campaign call for "One person, One event, One tree". This clarion call is for Kenyans to plant at least one tree to mark all important occasions in their lives; birthdays, weddings, job promotions, passing of an examination… This way, we hope to entrench the culture of tree planting into the Kenyan way of life.

The Eco Challenge concept, which originated in Kenya, is now spreading to other countries. Total Kenya is regularly advising, internationally, on implementation of the campaign, through multimedia public education, production and distribution of informational material, direct technical support for projects through a full-time Forester, matching corporate funding to community needs, co-coordinating supply-demand balances and sources, dedicating retail outlets as Tree Centers for information and seedling supply, support for nurseries, staging stakeholder conferences, an annual gala awards system, appointment of Tree Ambassadors, website and hotlines services, and more, all driven by essential and over arching principles of sustainable development which Total Kenya has crystallized and which are applicable to any project, worldwide.

Total Kenya has also consistently supported conservation efforts especially the fencing and protection of the Aberdares Forest through sponsorship of the Rhino Charge in partnership with the Rhino Ark Trust.

EDUCATION

While the Total Eco Challenge is reflexively listed under "Environment", every aspect of its operations - awareness, inspiration, awards, and technical support - is also a public education campaign, delivering to millions of Kenyans a really practical, hands-on knowledge of tree species, seed collection, nurseries design and management, improved planting techniques, tree nurture, harvesting and use.

In literally hundreds of schools throughout Kenya, teachers and pupils are running Total Eco Challenge tree planting projects as part of the curriculum! In these and all other projects, people are not only growing trees; they are growing knowledge, about the trees themselves, their context in eco balances, about resource harvesting and commercial values.

Projects are not only nurturing seedlings, but also mind-sets and ideas. They are not only changing a landscape; they are giving the national culture a new dimension. Total Kenya also delivers on its educational responsibility in more conventional ways - most notably through in-house professional training of staff and in several projects which distribute French language learning materials to schools and colleges throughout Kenya.

Total Kenya has a Training and Development section anchored in its Human Resources Department and a well-equipped training centre. Core subjects include safety, technical, cross-functional and management skills.

We achieved 1205 training days in 2011. This comprised of 194 days in safety and security, 365 days in commercial and technical job related training, 376 days in cross functional training and 270 days in company sponsored french language training for staff.

Total's training has a strong international component, with staff from other parts of the world coming to learn in Kenya, and Kenyan staff receiving overseas training and exposure.

HEALTH

Total's "Be Alive" programme focuses on HIV/AIDS awareness and prevention among staff and their home communities, with special emphasis on ensuring that those infected receive anti retro viral support, and enjoy equal work opportunity without stigma.

The company has a comprehensive peer counseling team and a busy programme of outreach action - participating in national conferences, sharing its experience with other companies through the Kenya Business Council and visiting support centres for both adults and children to give both emotional and material support.

The Be Alive Programme, which has been sustained for nine years, continues to champion the cause of the infected and the affected. Further, Total marks World Malaria Day in an event for staff and their families and communities, and distributes educational material and dipped nets to select schools. The treated mosquito nets, though under utilised, are scientifically recognized as the most effective protection against this endemic disease. These activities form part of Total Kenya's annual calendar of events. Total Kenya has its own "Healthy Living" for all staff, with talks on lifestyle disciplines, nutrition, and common illnesses.

AND MORE...

Total Kenya initiated the "Spotlight on Kenyan Music" programme to platform the talents of budding musicians in partnership with Alliance Française. Total Kenya has formed a formidable league football team both to boost its team building efforts as well as to promote a healthy living culture.

Total is the founder sponsor and continues to lead the Total Kenya Motorshow in partnership with the Kenya Motor Industry Association. The bi-annual event has grown to be the largest exposition of its kind anywhere in middle Africa. It features some 90 motor display stands, a full schedule of action events, and attracts some 20,000 spectators.

The company is also a co-sponsor and official lubrication partner for the annual Africa Concours d'Elegance and the Total Quartz Economy Run motoring events through our premier Petrol Engine Oil, TOTAL QUARTZ. Total Kenya is a co-sponsor of the Nondies Rugby Football Club.

CHAIRMAN'S STATEMENT

First of all, I wish to extend a very warm welcome to all of you on this occasion of our 58th Annual General meeting. This is my first general meeting to chair and I acknowledge with gratitude the support you shareholders have continued to extend to the company over the past years.

ENVIRONMENT OF OUR ACTIVITY

The year just passed started with unrest in the Middle East that affected petroleum product prices in the International market. Crude prices rose from Usd 95.55/barrel in January 2011 to the highest level of Usd 120.70/barrel in April 2011and closed at Usd 111.80/barrel in December 2011.

The Kenyan Oil industry was not spared by the effects of this turmoil and as a result, prices of petroleum products remained high for most of the year which in turn meant increased working capital requirements and hence high financing charges.

The Kenyan economy slowed down to an estimated growth of 4.3% in 2011 compared to 5.6% in 2010 mainly as a result

TAARIFA YA MWENYEKITI

Kwanza kabisa nawakaribisheni nyote kwa mkutano mkuu wa kila mwaka awamu ya 58. Huu ni mkutano mkuu wa kwanza ninauongoza nikiwa mwenyekiti, na ninachukua fursa hii kuwashukuru sana wenye hisa wetu kwa kuendelea kuiunga mkono kampuni hii .

MAZINGIRA YA KAZI

Mwaka uliopita ulianza kwa misukosuko katika eneo la mashariki ya kati,hali iliyoathiri pakubwa bei ya mafuta katika soko la kimataifa.Bei ya mafuta ghafi iliongezeka kutoka dola za Marekani 95.55 kwa pipa mwezi Januari hadi dola 120.70 kwa pipa mnamo mwezi Aprili mwaka 2011, kabla ya kupungua tena hadi dola 111.80 kwa pipa kufikia mwezi Disemba mwaka 2011.

Sekta ya mafuta hapa nchini pia haikusazwa na msukosuko huo, hali iliyosababisha bei ya bidhaa za mafuta kutopungua

"I sincerely believe that thanks to the quality of our assets, the competence and dedication of our staff and management, the unique value of the TOTAL Brand and its recognised quality products and services, we have reason to look to the future with confidence."

of drought and impact of high energy costs. The reduced GDP growth was attributable to effects of high inflation, lower agricultural production and subdued consumer spending.

Apart from infrastructure and real estate that recorded significant growth, other sectors of the economy such as agriculture and manufacturing recorded a decline in performance. The Nairobi Securities Exchange share index lost 30% as at close of December 2011 compared to same period in 2010 as high inflation and rising interest rates reduced appetite for risk for investors.

Inflation rose from single digit level in 2010 to reach a high of 19.7% in November 2011 and averaging at 14% mainly fuelled by high fuel and food prices. The Kenya shilling on the other hand weakened significantly against the major world currencies to unprecedented levels touching an exchange rate of Kes 107 to the US dollar in October. However, the local currency strengthened towards the end of the year resulting from tightening of monetary policy by the Central Bank of Kenya.

The political scene witnessed a lot of activity especially following the implementation of the new constitution that was promulgated in August 2010. There were significant reforms in the Judiciary with the set up of Supreme Court and appointment of a new Chief Justice together with Supreme Court judges. In addition, other important constitutional offices such as IEBC (Independent Electoral and Boundaries Commission) and Revenue Allocation Commission were created in the constitutional implementation process. These reforms are a significant milestone in the country that will definitely improve governance and ensure continuity in the running of the affairs of the Nation. It is also a positive development in the business operating environment and will certainly boost investor confidence in the country.

As noted in the previous years, the local oil industry faced numerous unfavourable market conditions due to inefficiencies in the fuel supply chain. Although there has been an improvement in product supply through the Kenya Pipeline in the second half of the year, the refinery continued to perform below expectation, leading to product stock outs and increase in product cost. More over, the industry suffered the full impact of the hurried introduction of price control introduced in December 2010. The formula does not recognise the full costs of operating in Kenya, nor the additional costs of compensating the inefficiencies of the supply chain. Further, the formula has not been reviewed to factor in the effects of deteriorating economic environment.
In this challenging environment, it is essential that the price formula recognizes the impact of some of these factors, especially the cost of financing the working capital requirements and the inflation on costs, to allow for sustainable operations in the industry. We take note that the ERC has already taken into account some element of financing costs in the recent price reviews, which is an encouraging positive development that should be maintained.

kwa miezi kadhaa, na matokeo yake kuwa kuongezeka kwa mtaji wetu wa matumizi.

Kiwango cha ukuaji wa kiuchumi kilififia na kufika asilimia 4.3 katika mwaka 2011, ikilinganishwa na asilimia 5.6 mwaka 2010, hii ikiwa ni kutokana na hali ya ukame na bei ghali ya kawi. Kiwango hicho cha chini cha ukuaji kilisababishwa na athari za mfumko wa bei ya bidhaa, kupungua kwa mazao ya kilimo na kudorora kwa thamani ya shillingi ya Kenya.

Kando na muundo msingi na sekta ya ujenzi wa nyumba ambazo zilinakili kiwango afueni cha ukuaji, shughuli katika sekta nyingine za uchumi kama vile kilimo na utengenezaji bidhaa zilififia. Kigezo cha biashara katika soko la hisa la Nairobi kilipungua kwa asilimia 30 kufikia mwezi disemba mwaka 2011, ikilinganishwa na kipindi sawia katika mwaka 2010, huku ongezeko la gharama ya maisha na viwango vya juu vya riba vikiathiri uwekezaji.

Gharama ya maisha iliongezeka kutoka chini ya asilimia 10 mnamo mwaka 2010 hadi asilimia 19.7 kufikia mwezi novemba mwaka 2011,huku kiwango wastani cha ongezeko kikiwa asilimia 14, hii ni kutokana na bei ghali ya mafuta na chakula.Thamani ya shillingi ya Kenya dhidi ya sarafu muhimu za kimataifa kwa upande mwengine iliendelea kupungua, na kufikia kiwango cha juu cha ubadilishanaji cha dola moja ya Marekani kwa shillingi za Kenya 107 mnamo mwezi oktoba mwaka 2011. Hata hivyo thamani ya shillingi ilianza kuimarika tena mwishoni mwa mwaka kufuatia mabadiliko ya sera kuhusu fedha yaliotekelezwa na benki kuu ya Kenya.

Katika ulingo wa siasa kulikuwa na shughuli nyingi,hususan baada ya kuratibishwa kwa katiba mpya mwezi agosti mwaka 2010. Mabadiliko makubwa pia yalishuhudiwa katika idara ya mahakama,huku mahakama ya juu ikibuniwa na jaji mkuu mpya, pamoja na majaji wa mahakama ya juu kuteuliwa. Kando na hayo, tume nyingine muhimu za kikatiba kama vile tume ya uchaguzi na mipaka-IEBC na tume ya ugavi wa mapato ya taifa pia zilibuniwa. Mabadiliko hayo bila shaka ni hatua muhimu kwa nchi hii, kwani yatasaidia kuleta uwazi na uwajibikaji katika usimamizi wa maswala ya taifa. Pia yatasaidia kuhakikisha kuwepo kwa mazingira bora ya biashara, na hivyo kuwavutia wawekezaji zaidi hapa nchini na kubuni nafasi za ajira.

Sawa na mwaka uliotangulia, sekta ya mafuta hapa nchini ilikabiliwa na changamoto si haba kutokana na utepetevu katika mifumo ya usambazaji mafuta. Ingawaje mabadiliko yalishuhudiwa katika utaratibu wa usambazaji wa mafuta kupitia kampuni ya Kenya Pipeline, hasa katika nusu ya pili ya mwaka, kiwanda cha kusafisha mafuta kiliendelea kuhudumu chini ya matarajio ya wadau, hali ambayo wakati mwengine ilisababisha kukosekana kwa bidhaa za mafuta kwenye soko la hapa nchini, na hivyo kusababisha bei ya bidhaa hiyo kuongezeka kwa kiwango kikubwa. Kando na hayo, sekta ya mafuta hapa nchini iliathirika pakubwa kutokana na uamuzi wa kudhibiti bei ulioanza kutekelezwa ghafla mwezi disemba mwaka 2010. Mfumo huo wa udhibiti wa bei hata hivyo haukutilia maanani gharama halisi ya kufanya biashara

PERFORMANCE

The company's performance for the year 2011 is materially below that of 2010 as was already communicated in the local dailies towards the end of 2011. This was attributable to adverse economic environment faced by the country in the year under review, coupled with unfavourable market conditions facing the oil industry such as the impact of price control and inefficiencies in the fuel supply chain.

Sales volume dropped by 3% from 972 KMT in 2010 to 941 KMT in 2011. This decrease was mainly attributable to reduced sales of diesel to emergency power producers. Excluding sales to the emergency power producers, global sales increased by 3.5%. It is worth noting that on the back of a growing Kenyan economy and thanks to Total Kenya's recognised customer service, other business channels such as the Retail Network, Lubricants and Aviation recorded impressive levels of growth. The company's inland market share decreased from 27.1% in December 2010 to 23.6% in December 2011 on account of the reduced sales volume.

Net turnover increased by 44% despite the slight reduction in sales volume due to product cost increase occasioned by high international oil prices and impact of weakening of the Kenya shilling against major world currencies. Cost of sales on the other hand went up by 49% due to additional costs within the supply chain that we were not able to pass on to the final consumer because of the price regulation mechanism, and to the lag effect between the rising international prices and the period when they are recognised in the formula. As a result, gross profit dropped by 12% compared to 2010.

Operating expenses increased by 12% mainly due to impact of inflation and an increase in depreciation and amortization expense. Finance costs increased by 63% to Kes 1,592 million in 2011 up from Kes 977 million in 2010 due to increase in working capital requirements coupled with increase in average bank interest rates especially in the second half of the year. The company managed to avoid forex losses despite the high volatility of the Kenya shilling against the US dollar, thanks to prudent risk management.

Profit before tax decreased from Kes 1,388 million in 2010 to Kes 58 million in 2011, which after taxation resulted in a net loss of Kes 71 million compared to a net profit of Kes 916 million in 2010.

On the balance sheet, the company's working capital requirements increased by Kes 4.3 billion hence the increase in short-term borrowings. The increase in working capital requirements was due to increase in international oil prices, devaluation of the Kenya shilling and lack of supply credit.

INVESTMENTS

Despite the challenging environment, Total Kenya continued to invest in the country in almost all the

hapa nchini, wala gharama za ziada zinazotokana na utepetevu katika usambazaji mafuta.Mfumo huo wa udhibiti wa bei pia haukujumuisha athari za mabadiliko yanayojiri mara kwa mara katika mazingira ya kiuchumi hapa nchini. Katika mazingira haya yenye changamoto za kila aina, mfumo unaotumika kuweka bei hauna budi kutilia maanani athari hizi, ili kuhakikisha kuna uendelevu katika sekta hii muhimu kwa uchumi. Tunafahamu kwamba katika utathmin wake bei ya mafuta katika siku hivi majuzi, halmashauri ya kudhibiti kawi hapa nchini imeangazia baadhi ya athari hizo, hatua ambayo ni ya kutia moyo, na ambayo inapaswa kudumishwa.

SHUGHULI ZA BIASHARA

Shughuli zetu za biashara zilififia katika mwaka 2011 ikilinganishwa na mwaka 2010 kama ilivyoelezwa kupitia magazeti ya humu nchini mwishoni mwa mwaka 2011.Hii ilitokana na athari za kiuchumi zilizokumba nchi hii katika kipindi hicho, pamoja na hali ya suitafahamu iliyokumba sekta ya mafuta hapa nchini,kutokana na athari za udhibiti wa bei na utepetevu katika utaratibu wa kusambaza mafuta.

Kiwango cha mauzo kilipungua kwa asilimia 3 kutoka 972 KMT mnamo mwaka 2010 hadi 941 KMT katika mwaka wa 2011. Hali hii ilisababishwa na kupungua kwa mauzo ya mafuta ya diseli kwa viwanda vya kibinafsi vya uzalishaji nguvu za umeme.Kando na kupungua kwa mauzo ya mafuta ya diseli kwa viwanda vya kibinafsi vya kuzalisha nguvu za umeme, mauzo yetu kimataifa yaliongezeka kwa asilimia 3.5. Shughuli zetu nyingine za biashara kama vile vituo vya mauzo ya rejareja, mauzo ya mafuta ya ndege na mafuta ya injini za magari ziliimarika pakubwa. Hata hivyo mgao wa kampuni wa soko la maeneo ya bara ulipungua kutoka asilimia 27.1 katika mwezi wa disemba mwaka 2010 hadi asilimia 23.6 kufikia mwezi disemba mwaka 2011, hii ni kutokana na upungufu wa mauzo jumla.

Mauzo halisi yaliongezeka kwa asilimia 44 licha ya kupungua kidogo kwa kiwango cha mauzo jumla kwa sababu ya ongezeko la bei ya bidhaa za mafuta,iliyosababishwa na kupanda kwa bei ya mafuta ghafi katika soko la kimataifa, na kufifia kwa thamani ya shilling dhidi ya sarafu muhimu za kimataifa. Gharama ya mauzo kwa upande mwengine iliongezeka kwa asilimia 49, hii ni kwa sababu ya gharama ya ziada katika usambazaji mafuta, ambayo haingesawazishwa kwa kuongeza bei kwa wateja, kwa sababu ya mfumo uliopo wa kudhibiti bei. Hali hizo zilisababishwa pato jumla la kampuni kupungua kwa asilimia 12 ikilinganishwa na mwaka 2010.

Gharama ya matumizi pia iliongezeka kwa asilimia 12 kutokana na athari za mfumko wa bei,kupungua kwa thamani ya shillingi ya Kenya na ulipaji madeni ya kampuni. Gharama jumla za kifedha za kampuni ziliongezeka kwa asilimia 63, hadi shillingi millioni 1,592 katika mwaka wa 2011, kutoka shillingi millioni 977 mnamo mwaka 2010, hii ni kutokana haja iliyojiri ya kuongeza mtaji wa matumizi, pamoja na kupanda kwa viwango wastani vya riba za mikopo katika nusu ya pili ya mwaka.Kampuni yetu hata hivyo haikupoteza pesa zozote kupitia ubadilishanaji pesa za kigeni, licha ya shillingi ya Kenya kukosa uthabiti dhidi ya

business channels. Most of the investments in 2011 were station remodelling costs, purchase of storage tanks and diversification equipments, investment in depots to improve efficiency and ensure safety of products, purchase of LPG cylinders to increase our cylinder float and replacement of various equipment at consumer sites. Total is committed to the highest standards of operations at all our installations as evidenced by the increase in demand of the services offered at our service stations spread all over the country. We have planned to continue investing to ensure safety at all our installations in line with the Total Group commitment to industrial safety as a priority at all times in our operations. It is because of this commitment to safety that "SAFETY FIRST" is a catch word before the start of any activity in our work environment. Other investments will go towards the improvement of existing facilities and in the acquisition of new assets whenever profitable opportunities arise.

SOCIAL RESPONSIBILITY

Our company continues to rank favourably among the listed companies in sustainable development projects through our Total Eco challenge initiative which has gained countrywide recognition. Through this project, the company continues to motivate and mobilize many thousands of tree-growing projects throughout Kenya consistently planting and exceeding the initial target of 100 million trees per year. The company is also involved in a campaign to sensitise its employees as well as the general public on the HIV and Aids pandemic through the Be Alive Programme that focuses on prevention of infection as well as stigma eradication for those infected and affected. The campaign combines an elaborate workplace programme with community outreach mainly through our network stations spread through out the country.

The campaign also focuses on malaria especially amongst the most vulnerable groups with an outreach programme targeted at selected primary schools in the country. Additionally, Total Kenya continues its involvement in road safety campaigns to sensitise motorists and the general public on safety procedures to be followed so as to reduce road carnage. The Northern Corridor road safety campaign in partnership with the World Bank underlines one such initiative.

dola ya Marekani, ufanisi uliotokana na ustadi wetu katika maswala ya usimamizi.
Faida ya kampuni kabla ya kutoa fungu la ushuru ilipungua kutoka shillingi million 1,388 mnamo mwaka 2010, hadi shillingi millioni 58 katika mwaka 2011, kiasi ambacho baada ya kulipa fungu la ushuru kinaonyesha kampuni ilipata hasara halisi ya shillingi millioni 71, ikilinganishwa na faida halisi ya shillingi millioni 916 katika mwaka 2010.

Kwenye taarifa ya mizania, mahitaji ya mtaji wa matumizi yaliongezeka kwa shillingi billioni 4.3, hali iliyosababisha kuongezeka kwa mikopo ya muda mfupi. Nyongeza hiyo ya mtaji wa matumizi ilitokana na kuongezeka kwa bei ya mafuta ghafi katika soko la kimataifa na kupungua kwa thamani ya shillingi ya Kenya .

UWEKEZAJI

Licha ya changamoto za biashara, kampuni ya Total Kenya iliendelea kuwekeza katika sekta tofuati za biashara. Mnamo mwaka 2011 kampuni hii iliwekeza kiasi kikubwa cha pesa katika urembeshaji wa vituo vyake vya kuuza mafuta, ununuzi wa matangi ya kuhifadhi mafuta, mabohari ya kuhifadhi bidhaa zake ili kuhakikisha usalama, ununuzi wa mitungi ya gesi ya kupika na kuweka vifaa vipya katika vitengo vyetu vyote vya kuwahudumia wateja. Kampuni ya Total imebainisha kujitolea kwake kuendelea kutoa huduma na bidhaa za hali ya juu katika vituo vyake vyote, hali ambayo imechangia kuongezeka kwa mahitaji ya huduma na bidhaa zetu kote nchini. Tumeazimia

We have also introduced solar lanterns among our product offerings at our Service Stations and other distribution channels. The aim is to make these efficient and affordable sources of lighting sustainably available as widely as possible to greater part of the population that is not connected to the grid with a warranty on quality.

PROSPECTS FOR 2012

2012 will be a pivotal year for Kenya. The elections, the first to be held under the new constitution, will dominate the political agenda. For the Oil Industry, 2012 should be an equally challenging year. The macro economic environment at the beginning of 2012 has been characterised by high interest and inflation rates which appear to have peaked and have since began to decline. International petroleum prices are on the increase while the Kenya shilling appears to have stabilised against major world currencies. In addition, the usual challenges facing the oil industry such as supply chain inefficiencies and price control continue to impact on our performance.

In this challenging environment it is essential that the price formula should recognize the impact of some of these factors, especially the cost of financing the working capital requirements and the inflation on costs, to allow for sustainable operations in the industry and provide a return on capital employed to investors.

The management is addressing the above challenges by accelerating the already ongoing action plans to develop business in non-traditional channels, manage working capital requirements and optimize costs, while at the same time keeping its programme of investment in profitable opportunities that will return the company to acceptable level of profitability. Despite the difficulties faced last year, I sincerely believe that thanks to the quality of our assets, the competence and dedication of our staff and management, the unique value of the TOTAL Brand and its recognised quality products and services, we have reason to look to the future with confidence.

In addition, the Board of Directors of Total Kenya has taken cognisance of the high interest expense that was incurred in 2011 as a result of increased borrowing to finance working capital requirements. With the increase in working capital requirements coupled with increase in average bank interest rates, the finance costs are no longer covered by the operating result generated by the company. For this reason, I am proposing to you members a special resolution for consideration and approval to increase the Company's share capital through issuance of additional redeemable preference shares. I am happy to report that Total Outré-Mer , currently the main shareholder of Total Kenya Limited has agreed to take up all the issued preference shares. The proceeds from these shares will go a long way in reducing bank loans and consequently interest expense, thus improving the overall company's performance.

kuendelea kuwekeza katika uimarishaji huduma na vifaa ili kuhakikisha kuna usalama katika vituo vyetu vyote nyakati zote. Ni kutokana na umuhimu tunatilia maswala ya usalama, utakumbana na neno "USALAMA KWANZA" katika mazingira tunaendeshea shughuli zetu. Kadhalika tunanuia kuwekeza katika ukarabati wa vituo vyetu vilivyoko na hata kununua raslimali zaidi tukapata faida ya kutuwezesha kufanya hivyo.

WAJIBU KWA JAMII

Kampuni yetu iliendelea kuorodheshwa miongoni mwa zile zinazotekeleza miradi endelevu, huku mradi wetu wa uhifadhi wa mazingira wa Eco Challenge ukiendelea kupata umaarufu kote nchini. Kupitia mradi huu, kampuni yetu inaendelea kuongoza harakati za upanzi wa maelfu ya miti kote nchini Kenya. Tayari tumezidi idadi ya miti millioni 100 tulikusudia kupanda wakati mradi huo ulipoanzishwa. Aidha kampuni hii inashiriki kwenye kampeini ya kuwahamasisha wafanyakazi wake na umma kwa jumla kuhusu mbinu za kuzuia maambukizi ya maradhi hatari ya ukimwi kupitia mpango wa 'KUWA HAI" (BE ALIVE) ambao huangazia zaidi uzuiaji wa maambukizi mapya na ukabilianaji na unyanyapa kwa walioambukizwa au wanaoathiriwa kwa njia moja au nyingine kutokana na maradhi hayo. Kampieni hii inajumuisha sio tu uhamasisho kazini, bali pia kwa jamii kupitia mtandao mkubwa wa vituo vyetu kote nchini. Kando na ukimwi, kampeini hiyo pia huangazia ukabilianaji na ugonjwa wa malaria miongoni mwa makundi yasiojimudu, huku shule teule za msingi katika maeneo mbali mbali hapa nchini zikilengwa kwenye kampeini hii. Kampuni ya Total pia inaendelea kushiriki katika kampeini za hamasisho kuhusu usalama barabarani, katika jitihada za kuchangia kupunguza ajali nyingi za barabarani zinazotokea hapa nchini.Kampeini ya usalama katika barabara ya pembeni ya Northern Corridor, inayoendeshwa kwa ushirikiano na benki ya dunia,ni moja tu ya mipango inayohusiana na usalama barabarani inayotekelezwa na kampuni hii.

Pia tumezindua taa zinazotumia miale ya jua miongoni mwa bidhaa nyingine zinazouzwa katika vituo vyetu na washirika wetu. Madhumuni ya kuanzisha bidhaa hii ya bei nafuu ni kuwawezesha watu wengi ambao hawajaunganishwa kwenye mtandao wa nguvu za umeme pia kufurahia mwangaza kutokana na chanzo hiki endelevu na nafuu.

MATARAJIO KATIKA MWAKA 2012

2012 utakuwa mwaka muhimu mno kwa taifa la Kenya. Ni mwaka ambapo uchaguzi mkuu wa kwanza chini ya katiba mpya utaandaliwa, huku maswala ya kisiasa yakitarajiwa kuchukua kipaumbele. Na kwa sekta ya mafuta, mwaka 2012 pia utakuwa na changamoto nyingi. Japo kuna mabadiliko kiasi, mazingira ya kiuchumi hapa nchini tangu mwanzo wa mwaka 2012 yameghubikwa na viwango vya juu vya riba na mfumko wa bei ya bidhaa muhimu .Ingawaje bei ya mafuta katika soko la kimataifa imeendelea kuongezeka, thamani ya shilingi ya Kenya dhidi ya sarafu muhimu za kimataifa sasa imekuwa thabiti. Aidha changamoto za kawaida zinazoghubika sekta ya mafuta kama vile utepetevu kwenye mifumo ya usambazaji mafuta, na udhibiti wa bei pia vinaendelea kuathiri utendakazi wetu.

DIVIDENDS

In view of the poor financial performance of the company in 2011 the Board of Directors is not proposing a dividend.

ACKNOWLEDGEMENTS

I wish to acknowledge the support and goodwill we have continued to receive from our customers, dealers, transporters and other business partners. We thank them most sincerely for this. On behalf of the board, I also wish to thank the Management and Staff for their commitment and contribution towards the overall company performance in 2011. To you the shareholders, I thank you for the confidence you have shown in us by choosing to invest in Total Kenya.

Finally, I wish to thank the members of the board of directors for their dedication and able support that has helped your company remain a major player in our market.

Jean Papee
Chairman

Katika mazingira haya yenye changamoto nyingi,ni muhimu kwa mifumo inayotumika kudhibiti bei,kutambua na kutilia maanani athari ya baadhi ya changamoto hizo kwa sekta hii muhimu, hasa gharama ya kufadhili mtaji wa matumizi na mfumko wa bei,ili kufanikisha shughuli za sekta hii na kuleta faida kwa wawekezaji.

Kwa upande wao,wasimamizi wa kampuni hii wanashughulikia baadhi ya changamoto hizo kwa kuweka mikakati muafaka ya kujiimarisha kibiashara kupitia safu mbadala,kuweka kanuni mpya za kudhibiti mtaji wa matumizi, na wakati huo huo kuendeleza mpango wa kuwekeza katika shughuli za biashara zinazongeza mapato kwa kampuni. Licha ya ugumu tuliokumbana nao mwaka uliopita,nina imani kwamba kutokana ubora wa raslimali zetu, bidii ya wafanyakazi na wasimamizi, sifa ya rajamu ya TOTAL pamoja na huduma na bidhaa zetu za hali ya juu, tuna matumaini ya kuafikia upeo mkubwa wa ustawi katika siku za usoni.

Zaidi ya hayo, bodi ya wakurugenzi wa Total Kenya inafahamu gharama ya juu ya riba katika kipindi cha mwaka 2011 iliyotokana na mikopo ya kufadhili mtaji wa matumizi ya kampuni. Kutokana na kuongezeka kwa mtaji wa matumizi pamoja na ongezeko la riba ya mikopo ya benki, mapato yanayotokana na shughuli za kampuni pekee hayawezi kugharamia mahitaji yote ya kampuni kikamilifu. Ni kwa sababu hiyo, napendekeza azimio maalumu kwa wanachama kutafakari na kuidhinisha kuongezwa kwa mtaji wa kampuni kupitia uuzaji wa hisa maalumu za ziada. Nina furaha kuwajulisha kwamba kampuni ya Total Outré-Mer, ambayo kwa sasa ni mwenye hisa mkuu katika Total Kenya Limited, imekubali kununua hisa zote maalum zitakazowasilishwa. Pesa zitakazotokana na mauzo ya hisa hizo zitatumika kupunguza madeni ya benki na hivyo kuongeza mapato jumla ya kampuni.

MGAO

Kutokana na upungufu wa mapato ya kampuni katika kipindi cha mwaka 2011, halmashauri ya wakurugenzi haitapendekeza mgao wowote wa faida.

SHUKRANI

Nachukua fursa hii kuwashukuru wateja wetu,wauzaji bidhaa zetu,wachukuzi na washirika wetu wote kibiashara kwa kuendelea kiunga mkono kampuni hii.Tunawashukuru sana. Kwa niaba ya bodi ya kampuni hii, pia nawashukuru wasimamizi na wafanyakazi kwa bidii na mchango wao kampuni katika kipindi cha mwaka 2011. Na kwa wenyehisa,nawashukuru kwa kuwa na imani katika kampuni ya Total Kenya .

Na nikitamatisha, nawashukuru sana wanachama wenzangu kwa juhudi zao na ushauri ambao umeiwezesha Kampuni hii kuendelea kuwa mdau mkuu kwenye sekta ya mafuta hapa nchini.

Jean Papee
Mwenyekiti

MANAGEMENT EXECUTIVES

SEATED:
From Left to Right: Jean-Francois Schoepp *(Planning & Supply Manager),* **Daniel Mayieka** *(Specialities Manager),* **Alexis Vovk** *(Managing Director),* **Patrick Waechter** *(Finance Director),* **James Kamau** *(Health, Safety, Environment and Quality Manager),*

STANDING

From Left to Right: Loic Thieblin *(Marketing Manager)*, **Charles Wambugu** *(Chief internal Auditor)*, **Maurice K'Anjejo** *(Corporate Affairs Manager)*, **Tom Maganga** *(Operations Manager)*, **Adele Tura** *(Human Resource and Administration Manager)*

OVERVIEW OF THE 2011 FINANCIAL YEAR FOR TOTAL KENYA LIMITED

The operating environment for the oil industry in Kenya remained challenging with high and volatile international prices and the depreciation of the Kenya shilling. Crude prices rose from Usd 95.55/barrel in January 2011 to the highest level of Usd 120.70/barrel in April 2011and closed at Usd 111.80/barrel in December 2011.

The usual challenges experienced in the oil industry namely, pipeline pumping capacity limitation, the unreliability of the refinery to meet production requirements and queuing of ships at the port continued to persist sometimes occasioning stock outs in upcountry markets.

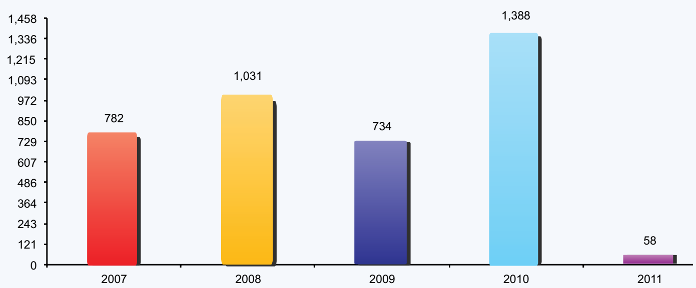
In spite of the challenging environment, Kenyan Inland Petroleum consumption grew by 10% in the year 2011 above the estimated economic growth of 4.3%. The growth was occasioned by the increased economic activities in manufacturing, horticulture, agriculture and growth in the tourism sector.

SUMMARY OF RESULTS

The company's performance was adversely affected by the unfavourable market conditions such as logistical constraints and price controls that were introduced in December 2010 coupled with the deterioration of macro-economic environment in the year that witnessed sharp increase in interest rates on bank borrowings, high inflation rates and depreciation of Kenya Shilling against major world currencies.

Total Kenya global sales dropped by 3.2% in 2011 to 941 KMT from 972 KMT in 2010. This decrease was mainly attributable to reduced sales of diesel to emergency power producers and supply constraints of Black Products and LPG. The decrease in sales volume led to a decrease in the company's inland market share from 27.1% in December 2010 to 23.6% in December 2011.

RESULTS BEFORE TAX (M Kshs)



Net turnover increased by 44% from Kes.64.4 billion in 2010 to Kes.92.5 billion in 2011 despite the decrease in sales volumes by 3.2%. The increase in Turnover was as a result of increase in international oil prices and the depreciation of the Kenya shilling. The price of crude increased from an average of USD 79.2/Barrel in 2010 to an average of USD 110.6/Barrel in 2011 while the shilling traded at an average of Kes.88.7.Usd in the year 2011 (Kes.79.40/Usd in 2010).

Gross profit which represents 5% of Net turnover decreased by 12% from Kes.5,317 million in 2010 to Kes.4, 674 million in 2011 as a result of decreased sales and depressed margins in the year. The unit margin contribution per litre remained depressed at Kes.4.0/ L (Kes.4.3/L in 2010).

Operating expenses increased by 12% as compared to 2010, mainly due to inflation impact (Average Annual Inflation rate of 14% in 2011) and exchange rate impact on imported goods and services.

Depreciation and amortisation increased by 8% as compared to 2010 due to the full impact of amortisation of reallocated Goodwill (9 months in 2010) to acquired assets after the purchase of Chevron. Goodwill recognized after acquisition of Chevron business was reallocated to property, plant and equipment following valuation of the acquired assets that was completed at the end of the first quarter 2010.

Operating profit went down by 41% to Kes.1,392 million, mainly driven by decrease in sales and depressed margins despite controlled operating expenses and increase in other income. In compliance with conditions set by the Government before the acquisition of Chevron, the company disposed off specified assets that generated a net gain of Kes.201 million (Kes.255 million in 2010).

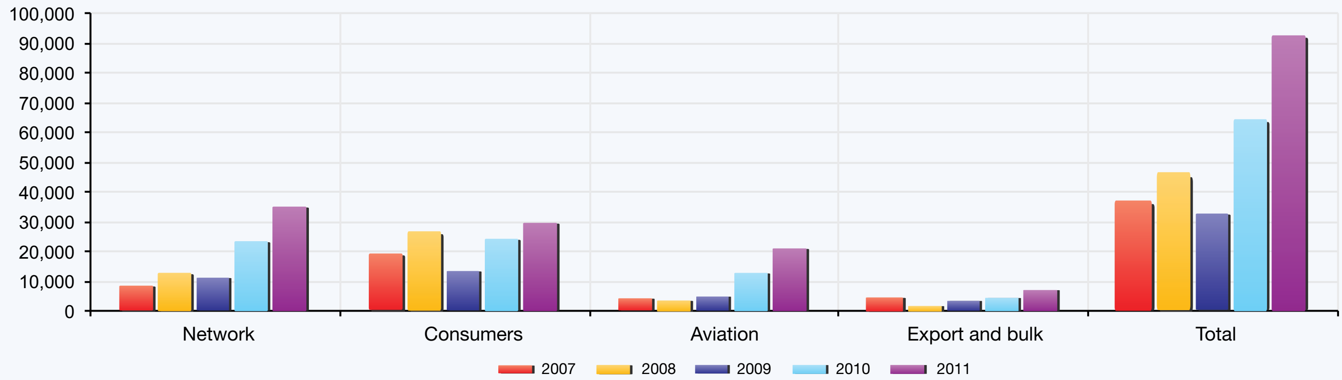
Net Finance costs increased by 67% (Kes 638 million) on account of increase in average borrowing rates coupled with increased working capital requirements.

Foreign exchange Gains amounted to Kes.258million as compared to Kes.2million loss in 2010.

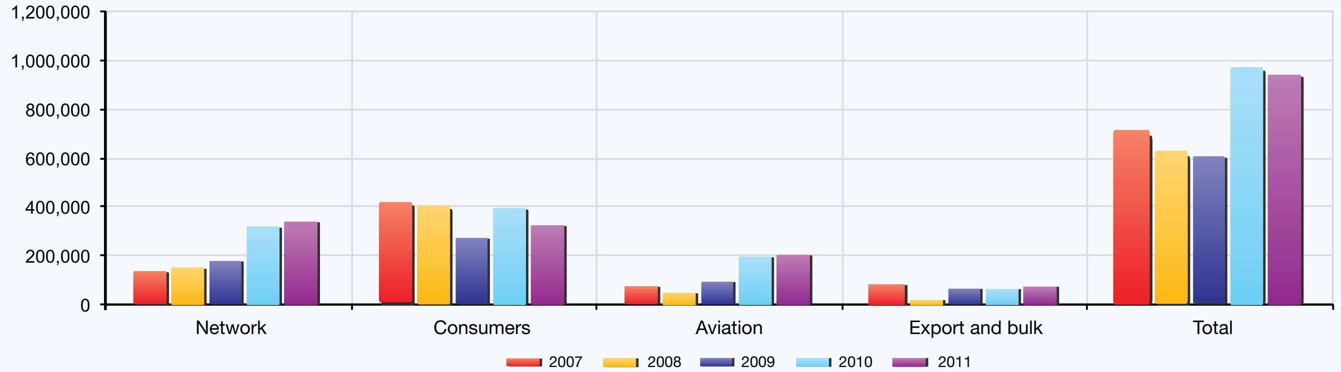
Consequently, Profit before tax decreased from Kes.1,388 million in 2010 to Kes.58 million in 2011 to register a net loss of Kes.71 million from a Net Profit of Kes.916 million in 2010. The Earnings per share decreased to a negative of Kes.0.24 from a positive Kes.3.07 in 2010.

Investments during the year amounted to Kes.684 million. The investments mainly related to rebranding, supply of equipment and construction works at network stations, consumer sites and depots.

NET SALES PER BUSINESS CHANNEL (M Kshs)



NET SALES PER BUSINESS CHANNEL (MT)



ANALYSIS BY BUSINESS CHANNELS

The company's four business channels are:

- Network channel, which comprises the distribution of petroleum products through service stations located across the country.
- General Trade channel, which comprises sales of full range of products to industrial consumers;
- Aviation channel, which comprises sales of turbine kerosene and aviation gasoline to local and international air carriers;
- Exports and Bulk channel, which comprises sales of our full range of products to neighbouring countries and other industry players.

NETWORK

The network market environment was still very competitive despite the challenges faced in the oil industry in 2011. Sales in this channel registered a growth of 5.4% from 313 KMT in 2010 to 330 KMT in 2011. The growth in sales is mainly attributable to market growth of 13% in this channel. Profitability in this channel was impacted by the price regulation introduced by the Government in December 2010 whose formula has not been recognizing the deterioration of the macro-economic environment and logistic constraints. The overall unit margins for the year were therefore impacted negatively by increased cost of bridging, demurrage and financing of OTS imports.

The total number of stations reduced from 180 (2010) to 175 in 2011 resulting from the disposal of 5 stations in 2011 in compliance with conditions set by the Government before acquisition of Chevron.

The company's objective is to continue investing in areas where population and traffic are growing. The range of our Non-oil services which includes Convenient stores "Bonjour shops", Auto Clean for Car Wash and Auto Express Service for pit-stop has continued to grow.

The Bon Voyage card has remained popular amongst individuals and corporates and has ensured customer loyalty. Our objective is to remain competitive as we strive to fully meet the expectations of our customers.

Network – Key figures	2011	2010	% Change
Number of service stations	175	180	-3%
Volumes Sold	330	313	5%
Turnover- net of taxes (Kes' million)	35,011	23,297	50%

GENERAL TRADE

The General Trade volumes decreased by 17.5% to 312KMT (378KMT in 2010) mainly due to reduced sales of diesel to emergency power producers and supply constraints of heavy fuels facing the industry.

LPG volumes decreased by 25% to 15KMT (2010 in 20KMT) mainly due to persistent product shortages at the refinery, delayed offloading resulting from congestion at the port and lack of enough storage capacity.

Turnover in General Trade channel increased by 23% from Kes.24 billion in 2010 to Kes 29.5 billion in 2011 as a result of increase in international oil prices coupled with depreciation of the Kenya shilling against major currencies.

Consumer–Key figures	2011	2010	% Change
Volumes Sold (excl. LPG) – KMT	312	378	-17.5%
Turnover- net of taxes (Kes'million)	29,555	23,987	23%

AVIATION

Sales volumes in this channel increased by 9% (from 194KMT in 2010 to 212KMT in 2011) mainly due to acquisition of new customers and growth in the tourism sector.

The increase in volumes sold coupled with increase in international price quotations and devaluation of the shilling against major currencies led to an increase in turnover, from Kes 12.7 billion in 2010 to Kes 21 billion in 2011.

Aviation–Key figures	2011	2010	% Change
Volumes Sold (KMT)	212	194	9.3%
Turnover- net of taxes	20,973	12,771	64%

EXPORTS AND BULK

Export sales decreased by 9.7% from 36.1 KMT in 2010 to 32.6KMT in 2011 mainly due to product unavailability occasioned by the unreliability of the refinery while Bulk sales increased from 27.6 KMT in 2010 to 36.2 KMT in 2011.

Turnover in this channel increased by 62% from Kes.4, 306million in 2010 to Kes. 6,996 million in 2011 and sales in this channel generated acceptable margins.

FINANCIAL POSITION

In 2011, the working capital elements were adversely affected by the increase in the cost of operation as a result of increase in international crude prices and depreciation of the Kenya shilling against the US Dollar. As a result, cash flow generated from operating activities was a negative of Kes.2,006 million compared to a positive cash flow of Kes. 6,012 million in 2010. Cash flow used in investing activities was Kes.394 million compared to Kes. 407 million in 2010.

The financing cost increased by 63% to Kes.1,592 million from Kes.977million in 2010 resulting from the increase in the average 91 days - Treasury Bill rate from an average of 3.6% in 2010 to an average of 8.8% in 2011 coupled with increased working capital requirements.

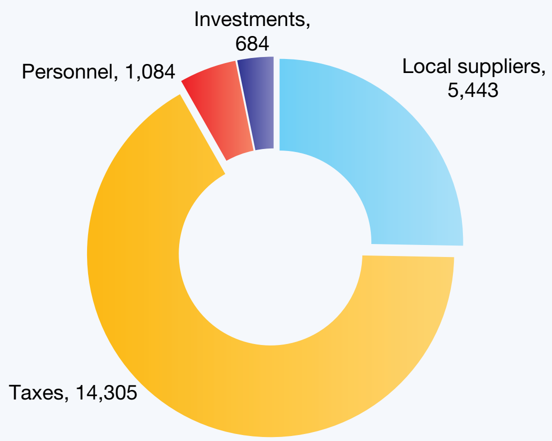
BALANCE SHEET:

The company's current ratio remained within acceptable level of 1.10:1 (1.18:1 in 2010) while debt equity ratio deteriorated from 94 % in 2010 to 145% in 2011 mainly due to increased short term borrowings to finance increased working capital requirements. The change in shareholder's equity is as a result of dividends paid of Kes.313million for the year 2010 and the Net loss of Kes.71 million in 2011.

CONTRIBUTION TO THE KENYAN ECONOMY

Total Kenya has remained a key player in the Kenyan oil industry and the economy as a whole. During the year under review, the company continued to make significant contribution to the Kenyan economy as it carried on with its business and corporate social responsibility activities. Total Kenya remained at the top on the list of the biggest tax payers in the country, having paid direct and indirect taxes of over Kes 14.3 billion (Kes 15.3 billion in 2010). The total financial impact on the economy in 2011 was Kes 21.5 billion (2010 Kes 22.2 billion) comprising the following in Mkes:

CONTRIBUTION TO THE KENYAN ECONOMY in 2011 (MKshs)



2012 MANAGEMENT AGENDA:

Total Kenya still believes in the country's growth potential which presents opportunities for improvement on every aspect of our business. The Management is confident that the company has positioned itself to register improved performance in all the market segments and especially the non traditional channels. However, this performance will depend on the economic growth, stability of world crude prices and concerted effort by the Government and other parties to address the unfavourable market conditions facing the oil industry such as the impact of price control and inefficiencies in the fuel supply chain.

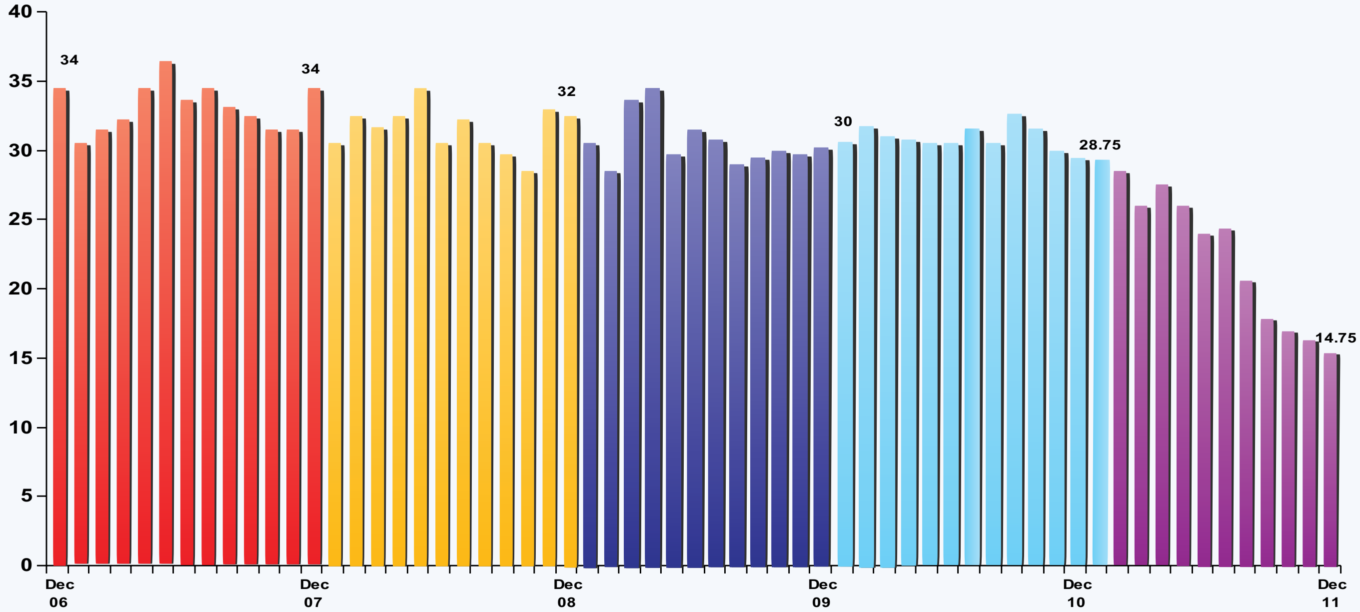
In 2012, we will remain committed to delivery of quality products and services profitably and in a responsible manner.

Therefore the management will:

- Focus on achieving the company's mission of delivering quality products and services to our customers responsibly and profitably in an innovative way.
- Ensure safety standards at all company installations.
- Continue to harness the opportunities in the market and enhance profitable growth.
- Maintain good control over costs.
- Continue to attract, develop and retain best talent.
- Reinforce the brand through expansion, physical image, external recognition and community commitment.
- Continue to invest in renewable energy opportunities.

SHARE PRICE EVOLUTION

In 2011, Total Kenya share price closed at Kes 14.75 in December 2011. This was 50% drop as compared to the drop of NSE All Index by 34% in the year.



TOTAL KENYA SHARE PRICE (KSHS)
MONTHLY CLOSING RATES (DEC 06 TO DEC 11)

TOP 10 SHAREHOLDERS

Rank	Name		Shares Held	Percentage
1	Total Outre-Mer	a) Ordinary Shares	126,327,070	42.31
		* b) Redeemable Preference Shares	123,478,388	41.36
2	Total Africa Limited		10,732,950	3.60
3	Kimani, John Kibunga		3,924,608	1.31
4	Shah, Rajesh Dharamshi		1,728,386	0.58
5	Kibirichia Stores Limited		797,100	0.27
6	Cannon Assurance (Kenya) Limited		710,300	0.24
7	Benjamin, Emmett Joseph		570,900	0.19
8	The Jubilee Insurance Company Of Kenya Limited		566,736	0.19
9	Rahim, Ahmed Mian Abdur		459,960	0.15
10	Phoenix Of East Africa Assurance Company Limited		450,000	0.15
			269,746,398	**90.35**

*** Have no voting rights.**

SHARE DISTRIBUTION SCHEDULE

i) BY NUMBER OF SHARE RANGE

Range	No. of Members	Total No. of Shares	Percentage
1 - 500	2,218	521,219	0.18
501 - 1,000	1,041	895,217	0.30
1,001 - 100,000	2,689	20,88,262	6.99
100,001 - 500,000	38	7,408,958	2.48
500,001 - 1,000,000	4	2,645,036	0.89
1,000,001 - 999,999,999,999	4	266,191,402	89.16
	5,994	**298,543,094**	**100.00**

ii) BY CATEGORY OF SHAREHOLDER

No. of Members	Group	Total Quantity	Percentage
87	FOREIGN INVESTORS	261,449,626	87.58
5,423	E.A.P.S. INDIVIDUALS	30,158,906	10.10
484	E.A.P.S INSTITUTIONS	6,934,562	2.32
5,994	**TOTALS**	**298,543,094**	**100.00**

Deloitte.

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P.O. Box 40092 - GPO 00100
Nairobi
Kenya

Tel: +(254 - 20) 423 0000
+(254 - 20) 444 1344/05 - 12
Fax: +(254 - 20) 444 8966
Dropping Zone No. 92
E-mail: admin@deloitte.co.ke
www.deloitte.com

REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying financial statements of Total Kenya Limited, set out on pages 28 to 67 which comprise the statement of financial position as at 31 December 2011, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company as at 31 December 2011 and of its loss and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
iii) the company's statement of financial position (balance sheet) and statement of comprehensive income (profit and loss) are in agreement with the books of account.

Deloitte & Touche

Certified Public Accountants (Kenya)
19 April 2012

Partners: S.O. Onayngo F.O. Aloo H. Gadhoke* N.R.Hira* B.W. Irungu J.M. Kiarie D.M. Mbogho A.N. Muraya J. Nyang'aya J.W. Wangai
*British

For the year ended December 31,	2011 Kshs'000	2010 Kshs'000
Gross sales	105,590,360	79,206,640
Indirect taxes and duties	(13,055,311)	(14,844,778)
Net sales (Note 3)	**92,535,049**	**64,361,862**
Cost of sales (Note 4)	(87,860,697)	(59,044,505)
Gross profit	**4,674,352**	**5,317,357**
Other income (Note 5)	680,041	567,683
Operating expenses (Note 6)	(3,962,404)	(3,540,643)
Finance income (Note 7(a))	544	23,267
Finance costs (Note 7(b))	(1,592,320)	(976,913)
Exchange gain/ (loss) (Note 7(c))	257,637	(2,326)
Profit before taxation	**57,850**	**1,388,425**
Taxation charge (Note 9)	(129,286)	(472,220)
(Loss)/profit for the year and total comprehensive income	**(71,436)**	**916,205**
(Loss)/earnings per share (basic and diluted) (Note 10)	**KShs (0.24)**	**KShs 3.07**

As at December 31,	2011 Kshs'000	2010 Kshs'000
ASSETS		
Non-current assets		
Property, plant and equipment (Note 12)	8,450,952	8,978,227
Prepaid operating leases (Note 13)	684,626	596,049
Goodwill (Note 14)	416,679	416,679
Intangible assets (Note 15)	121,342	67,729
Other assets (Note 16)	38,661	70,417
Deferred tax asset (Note 17)	146,955	131,999
Total non-current assets	**9,859,215**	**10,261,100**
Current assets		
Inventories (Note 18)	12,039,014	9,516,941
Trade and other receivables (Note 19)	9,406,874	7,991,703
Due from related companies (Note 20(i))	2,014,286	1,550,448
Taxation recoverable (Note 9 (iii))	125,489	-
Other assets (Note 16)	31,756	38,499
Bank and cash balances (Note 27(ii))	1,670,112	874,673
	25,287,531	**19,972,264**
Assets classified as held for sale (Note 21)	51,420	142,313
Total current assets	**25,338,951**	**20,114,577**
TOTAL ASSETS	**35,198,166**	**30,375,677**
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital (Note 22)	4,774,771	4,774,771
Share premium (Note 23)	1,967,520	1,967,520
Retained earnings	2,452,527	2,837,562
Shareholders' equity	**9,194,818**	**9,579,853**
Non current liabilities		
Medium term loan (Note 24)	2,574,000	3,276,000
Trade and other payables (Note 25)	446,584	428,925
Total non current liabilities	**3,020,584**	**3,704,925**
Current liabilities		
Medium term loan (Note 24)	702,000	702,000
Trade and other payables (Note 25)	6,875,077	9,846,311
Due to holding company (Note 28(ii))	3,612,107	362,938
Due to related companies (Note 20(ii))	86,562	81,188
Unpaid dividends (Note 11)	5,852	6,718
Short term bank borrowings (Note 26)	11,701,166	5,897,375
Taxation payable (Note 9 (iii))	-	194,369
Total current liabilities	**22,982,764**	**17,090,899**
TOTAL EQUITY AND LIABILITIES	**35,198,166**	**30,375,677**

The financial statements on pages 28 to 67 were approved by the board of directors on 27 March 2012 and were signed on its behalf by:

Alexis Vovk

Director

Patrick Waechter

Director

FOR THE YEAR ENDED 31 DECEMBER 2011

	Share capital Kshs'000	Share premium Kshs'000	Retained earnings Kshs'000	Total equity Kshs'000
As of 1 January 2010	**4,774,771**	**1,967,520**	**2,219,900**	**8,962,191**
Dividends declared – 2009 (note 11)	-	-	(298,543)	(298,543)
Profit for the year and total comprehensive income	-	-	916,205	916,205
As of 31 December 2010	**4,774,771**	**1,967,520**	**2,837,562**	**9,579,853**
As of 1 January 2011	**4,774,771**	**1,967,520**	**2,837,562**	**9,579,853**
Dividends declared – 2010 (note 11)	-	-	(313,599)	(313,599)
Loss for the year and total comprehensive income	-	-	(71,436)	(71,436)
As of 31 December 2011	**4,774,771**	**1,967,520**	**2,452,527**	**9,194,818**

For the year ended December 31,	2011 Kshs'000	2010 Kshs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash (used in)/generated from operations (Note 27 (i))	(1,541,641)	6,379,714
Taxation paid (Note 9(iii))	(464,100)	(368,138)
Net cash (used in)/generated from operating activities	(2,005,741)	6,011,576
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment (Note 12)	(507,805)	(539,983)
Purchase of prepaid operating leases (Note 13)	(173,636)	(122,936)
Purchase of intangible assets (Note 15)	(2,938)	(82,982)
Proceeds on disposal of property, plant and equipment prepaid operating leases and assets held for sale	290,009	339,107
Net cash used in investing activities	(394,370)	(406,794)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid (Note 7)	(1,592,320)	(976,913)
Interest received (Note 7)	544	23,267
Dividends paid (Note 11)	(314,465)	(298,897)
Medium term loan repaid (Note 24)	(702,000)	(702,000)
Net cash used in financing activities	**(2,608,241)**	**(1,954,543)**
Net (decrease) /increase in cash and cash equivalents	**(5,008,352)**	**3,650,239**
Cash and cash equivalents as at 1 January	**(5,022,702)**	**(8,672,941)**
Cash and cash equivalents as at 31 December (Note 27(ii))	**(10,031,054)**	**(5,022,702)**

1. ACCOUNTING POLICIES

Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards.

For purposes of reporting under the Kenyan companies Act, the balance sheet in these financial statements is represented by the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC)

(a) New and revised IFRS effective in the current period

The following new and revised IFRSs have been applied in the current period.

- Amendments to IAS 1 Presentation of Financial Statements (as part of Improvements to IFRSs issued in 2010)
- IAS 24 Related Party Disclosures (as revised in 2009)
- Amendments to IFRS 3 Business Combinations
- Amendments to IAS 32, Classification of Rights Issues
- Amendments to IFRIC 14 Prepayments of a Minimum Funding Requirement
- IFRIC 19 Extinguishing Financial Liabilities and Equity Instruments
- Improvements to IFRSs issues in 2010

Impact of the new and revised standards and interpretations in issue

Amendments to IAS 1 Presentation of Financial Statements (as part of Improvements issued in 2010)

The amendments to IAS 1 clarify that an entity may choose to disclose an analysis of other comprehensive income by item in the statement of changes in equity or in the notes to the financial statements. In the current year, the company had no such items and the amendment had no effect on the company's financial statements.

IAS 24 Related Party Disclosures (as revised in 2009)

IAS 24 (as revised in 2009) has been revised on the following two aspects: (a) IAS 24 (as revised in 2009) has changed the definition of a related party and (b) IAS 24 (as revised in 2009) introduces a partial exemption from the disclosure requirements for government-related entities.

The Company is not a government-related entity. The application of the revised definition of related party set out in IAS 24 (as revised in 2009) in the current year has not resulted in the identification of related parties that were not identified as related parties under the previous Standard.

Amendments to IFRS 3 Business Combinations

As part of Improvements to IFRSs issued in 2010, IFRS 3 was amended to clarify that the measurement choice regarding non-controlling interests at the date of acquisition is only available in respect of non-controlling interests that are present ownership interests and that entitle their holders to a proportionate share of the entity's net assets in the event of liquidation. All other types of non-controlling interests are measured at their acquisition-date fair value, unless another measurement basis is required by other Standards. In addition, IFRS 3 was amended to provide more guidance regarding the accounting for share-based payment awards held by the acquiree's employees. Specifically, the amendments specify that share-based payment transactions of the acquiree that are not replaced should be measured in accordance with IFRS 2 Share-based Payment at the acquisition date ('market-based measure').

In the current year, the company had no acquisitions and the amendment had no effect on the company's financial statements.

Amendments to IAS 32 Classification of Rights Issues

The amendments address the classification of certain rights issues denominated in a foreign currency as either equity instruments or as financial liabilities. Under the amendments, rights, options or warrants issued by an entity for the holders to acquire a fixed number of the entity's equity instruments for a fixed amount of any currency are classified as equity instruments in the financial statements of the entity provided that the offer is made pro rata to all of its existing owners of the same class of its non-derivative equity instruments.

Before the amendments to IAS 32, rights, options or warrants to acquire a fixed number of an entity's equity instruments for a fixed amount in foreign currency were classified as derivatives. The amendments require retrospective application.

The application of the amendments has had no effect on the amounts reported in the current and prior years because the Company has not issued instruments of this nature.

Amendments to IFRIC 14 Prepayments of a Minimum Funding Requirement

IFRIC 14 addresses when refunds or reductions in

1. ACCOUNTING POLICIES (Continued)

Impact of the new and revised standards and interpretations in issue (Continued)

Amendments to IFRIC 14 Prepayments of a Minimum Funding Requirement (Continued)

future contributions should be regarded as available in accordance with paragraph 58 of IAS 19; how minimum funding requirements might affect the availability of reductions in future contributions; and when minimum funding requirements might give rise to a liability. The amendments now allow recognition of an asset in the form of prepaid minimum funding contributions. The application of the amendments has not had material effect on the company's financial statements.

IFRIC 19 Extinguishing Financial Liabilities with Equity Instruments

The Interpretation provides guidance on the accounting for the extinguishment of a financial liability by the issue of equity instruments. Specifically, under IFRIC 19, equity instruments issued under such arrangement will be measured at their fair value, and any difference between the carrying amount of the financial liability extinguished and the consideration paid will be recognised in profit or loss.

The application of IFRIC 19 has had no effect on the amounts reported in the current and prior years because the company has not entered into any transactions of this nature.

Improvements to IFRSs issued in 2010

The application of Improvements to IFRSs issued in 2010 has not had any material effect on amounts reported in the financial statements.

(b) New and revised IFRSs in issue but not yet effective

The company has not applied the following standards that have been issued but are not yet effective;

- Amendments to IFRS 7-Disclosures-Transfers of Financial Assets (Effective for annual periods beginning on or after 1 July 2011)
- IFRS 9 -Financial Instruments (Effective for annual periods beginning on or after 1 January 2015)
- IFRS 10 Consolidated Financial Statements (Effective for annual periods beginning on or after 1 January 2013)
- IFRS 11 Joint Arrangements (Effective for annual periods beginning on or after 1 January 2013)
- IFRS 12 Disclosure of Interests in Other Entities (Effective for annual periods beginning on or after 1 January 2013)
- IFRS 13 Fair Value Measurement (Effective for annual periods beginning on or after 1 January 2013)
- Amendments to IAS 1 Presentation of Items of Other Comprehensive Income (Effective for annual periods beginning on or after 1 January 2012)
- Amendments to IAS 12 -Deferred Tax -Recovery of Underlying Assets (Effective for annual periods beginning on or after 1 January 2012)
- IAS 19 (as revised in 2011)- Employee Benefits (Effective for annual periods beginning on or after 1 January 2013)
- IAS 27 (as revised in 2011)- Separate Financial Statements (Effective for annual periods beginning on or after 1 January 2013)
- IAS 28 (as revised in 2011) - Investments in Associates and Joint Ventures (Effective for annual periods beginning on or after 1 January 2013)
- IFRIC 20, Stripping Costs in the Production Phase of a Surface Mine (Effective for annual periods beginning on or after 1 January 2013)

The amendments to IFRS 7 increase the disclosure requirements for transactions involving transfers of financial assets. These amendments are intended to provide greater transparency around risk exposures when a financial asset is transferred but the transferor retains some level of continuing exposure in the asset. The amendments also require disclosures where transfers of financial assets are not evenly distributed throughout the period.

The directors do not anticipate that these amendments to IFRS 7 will have a significant effect on the Company's disclosures.

IFRS 9: Financial Instruments

IFRS 9 issued in November 2009 introduces new requirements for the classification and measurement of financial assets. IFRS 9 amended in October 2010 includes the requirements for the classification and measurement of financial liabilities and for derecognition.

Key requirements of IFRS 9 are described as follows:

IFRS 9 requires all recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured

1. ACCOUNTING POLICIES (Continued)

(b) New and revised IFRSs in issue but not yet effective (Continued)

IFRS 9: Financial Instruments (Continued)

at their fair values at the end of subsequent accounting periods.

The most significant effect of IFRS 9 regarding the classification and measurement of financial liabilities relates to the accounting for changes in the fair value of a financial liability (designated as at fair value through profit or loss) attributable to changes in the credit risk of that liability. Specifically, under IFRS 9, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is presented in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as at fair value through profit or loss was presented in profit or loss.

IFRS 9 is effective for annual periods beginning on or after 1 January 2015, with earlier application permitted.

The directors anticipate that IFRS 9 will be adopted in the company's financial statements for the annual period beginning 1 January 2015 and that the application may not have a significant impact on amounts reported in respect of the company's financial assets and financial liabilities.

The "package of five" new and amended standards

In May 2011, a package of five Standards on consolidation, joint arrangements, associates and disclosures was issued, including IFRS 10, IFRS 11, IFRS 12, IAS 27 (as revised in 2011) and IAS 28 (as revised in 2011).

Key requirements of these five Standards are described below.

IFRS 10 Consolidated Financial Statements

IFRS 10 replaces the parts of IAS 27 Consolidated and Separate Financial Statements that deal with consolidated financial statements. SIC-12 Consolidation – Special Purpose Entities has been withdrawn upon the issuance of IFRS 10. Under IFRS 10, there is only one basis for consolidation that is control. In addition, IFRS 10 includes a new definition of control that contains three elements: (a) power over an investee, (b) exposure, or rights, to variable returns from its involvement with the investee, and (c) the ability to use its power over the investee to affect the amount of the investor's returns. Extensive guidance has been added in IFRS 10 to deal with complex scenarios.

IFRS 11 Joint Arrangements

IFRS 11 replaces IAS 31 Interests in Joint Ventures. IFRS 11 deals with how a joint arrangement of which two or more parties have joint control should be classified. SIC-13 Jointly Controlled Entities – Non-monetary Contributions by Venturers has been withdrawn upon the issuance of IFRS 11. Under IFRS 11, joint arrangements are classified as joint operations or joint ventures, depending on the rights and obligations of the parties to the arrangements. In contrast, under IAS 31, there are three types of joint arrangements: jointly controlled entities, jointly controlled assets and jointly controlled operations.

In addition, joint ventures under IFRS 11 are required to be accounted for using the equity method of accounting, whereas jointly controlled entities under IAS 31 can be accounted for using the equity method of accounting or proportionate accounting.

IFRS 12 Disclosure of Interests in Other Entities

IFRS 12 is a disclosure standard and is applicable to entities that have interests in subsidiaries, joint arrangements, associates and/or unconsolidated structured entities. In general, the disclosure requirements in IFRS 12 are more extensive than those in the current standards.

IAS 27 (as revised in 2011) - Separate Financial Statements

IAS 27 has been amended for the issuance of IFRS 10 but retains the current guidance for separate financial statements.

IAS 28 (as revised in 2011) - Investments in Associates and Joint Ventures

IAS 28 has been amended for conforming changes based on issuance of IFRS 10 and IFRS 11.

IFRS 13 Fair Value Measurement

IFRS 13 establishes a single source of guidance for fair value measurements and disclosures about fair value measurements. The Standard defines fair value, establishes a framework for measuring fair value, and requires disclosures about fair value measurements. The scope of IFRS 13 is broad; it applies to both financial instrument items and non-financial instrument items for which other IFRSs require or permit fair

1. ACCOUNTING POLICIES (Continued)

(b) New and revised IFRSs in issue but not yet effective (Continued)

IFRS 13 Fair Value Measurement

value measurements and disclosures about fair value measurements, except in specified circumstances. In general, the disclosure requirements in IFRS 13 are more extensive than those required in the current standards. For example, quantitative and qualitative disclosures based on the three-level fair value hierarchy currently required for financial instruments only under IFRS 7 Financial Instruments: Disclosures will be extended by IFRS 13 to cover all assets and liabilities within its scope.

IFRS 13 is effective for annual periods beginning on or after 1 January 2013, with earlier application permitted.

The directors anticipate that IFRS 13 will be adopted in the Company's financial statements for the annual period beginning 1 January 2013 and that the application of the new Standard may not affect the amounts and disclosures in the financial statements.

Amendments to IAS 1 Presentation of Items of Other Comprehensive Income

The amendments to IAS 1 retain the option to present profit or loss and other comprehensive income in either a single statement or in two separate but consecutive statements. However, the amendments to IAS 1 require additional disclosures to be made in the other comprehensive income section such that items of other comprehensive income are grouped into two categories: (a) items that will not be reclassified subsequently to profit or loss; and (b) items that will be reclassified subsequently to profit or loss when specific conditions are met. Income tax on items of other comprehensive income is required to be allocated on the same basis.

The amendments to IAS 1 are effective for annual periods beginning on or after 1 July 2012. The company has no items of other comprehensive income and the directors anticipate that the application of the amendment will have no impact on the amounts to be reported in future accounting periods.

Amendments to IAS 12 -Deferred Tax -Recovery of Underlying Assets

The amendments to IAS 12 provide an exception to the general principles in IAS 12 that the measurement of deferred tax assets and deferred tax liabilities should reflect the tax consequences that would follow from the manner in which the entity expects to recover the carrying amount of an asset. Specifically, under the amendments, investment properties that are measured using the fair value model in accordance with IAS 40 Investment Property are presumed to be recovered through sale for the purposes of measuring deferred taxes, unless the presumption is rebutted in certain circumstances.

The amendments to IAS 12 are effective for annual periods beginning on or after 1 January 2012. The directors anticipate that the application of the amendments to IAS 12 in future accounting periods may not result in adjustments to the amounts of deferred tax liabilities as the company has no investment properties.

IAS 19 (as revised in 2011) - Employee Benefits

The amendments to IAS 19 change the accounting for defined benefit plans and termination benefits. The most significant change relates to the accounting for changes in defined benefit obligations and plan assets.

The amendments require the recognition of changes in defined benefit obligations and in fair value of plan assets when they occur, and hence eliminate the 'corridor approach' permitted under the previous version of IAS 19 and accelerate the recognition of past service costs. The amendments require all actuarial gains and losses to be recognised immediately through other comprehensive income in order for the net pension asset or liability recognised in the consolidated statement of financial position to reflect the full value of the plan deficit or surplus.

The amendments to IAS 19 are effective for annual periods beginning on or after 1 January 2013 and require retrospective application with certain exceptions. The directors anticipate that the amendments to IAS 19 will be adopted in the company's financial statements for the annual period beginning 1 January 2013 and that the application may have significant impact on amounts reported in respect of the company's financial assets and financial liabilities. However it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

IFRIC 20, Stripping Costs in the Production Phase of a Surface Mine

This interpretation, clarifies the requirements for accounting for stripping costs associated with waste removal in surface mining, including when production stripping costs should be recognised as an asset, how the asset is initially recognised, and subsequent measurement.The Interpretation requires stripping activity costs which provide improved access to ore are recognised as a non-current 'stripping activity asset' when certain criteria are met. The stripping activity asset is depreciated or amortised on a systematic basis, over the expected useful life of the identified component of

1. ACCOUNTING POLICIES (Continued)

(b) New and revised IFRSs in issue but not yet effective (Continued)

IFRS 9: Financial Instruments (Continued)

the ore body that becomes more accessible as a result of the stripping activity, using the units of production method unless another method is more appropriate.

This interpretation is effective for annual periods beginning on or after 1 January 2012. The directors anticipate that this interpretation will have no impact on the company's financial statements as the company does not engage in mining activity.

(c) Early adoption of standards

The company did not early-adopt any new or amended standards in the period.

a. Basis of preparation

The financial statements have been prepared on the historical cost basis of accounting except for the revaluation of certain non-current assets and financial instruments. The financial statements are presented in Kenya Shillings (KShs) thousands.

b. Revenue recognition

Turnover, which represents sales to external customers during the year, is recognised upon delivery of products and customer acceptance and is stated net of value added tax, returns and rebates.

Interest income from a financial asset is recognised when it is probable that the economic benefits will flow to the company and the amount of income can be measured reliably. Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

Throughput fees represent fees charged on the volumes lifted by the various shippers hosted by the Company at its depot and are recognized upon the delivery of products.

All other revenues are recognised at the time goods are supplied or services are provided.

c. Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred by the company, liabilities incurred by the company to the former owners of the acquiree and the equity interests issued by the company in exchange for control of the acquiree. Acquisition-related costs are generally recognised in profit or loss as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value at the acquisition date, except that:

- deferred tax assets or liabilities and liabilities or assets related to employee benefit arrangements are recognised and measured in accordance with IAS 12 Income Taxes and IAS 19 Employee Benefits respectively;
- liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the company entered into to replace share-based payment arrangements of the acquiree are measured in
- accordance with IFRS 2 Share-based Payment at the acquisition date; and
- assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations are measured in accordance with that Standard.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed.

If, after reassessment, the net of the acquisition-date amounts of the identifiable assets acquired and liabilities assumed exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held interest in the acquiree (if any), the excess is recognised immediately in profit or loss as a bargain purchase gain.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

When the consideration transferred by the company

1. ACCOUNTING POLICIES (Continued)

c. Business combinations(Continued)

in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at its acquisition-date fair value and included as part of the consideration transferred in a business combination. Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively, with corresponding adjustments against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period' (which cannot exceed one year from the acquisition date) about facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on how the contingent consideration is classified. Contingent consideration that is classified as equity is not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Contingent consideration that is classified as an asset or a liability is remeasured at subsequent reporting dates in accordance with IAS 39, or IAS 37 Provisions, Contingent Liabilities and Contingent Assets, as appropriate, with the corresponding gain or loss being recognised in profit or loss.

When a business combination is achieved in stages, the company's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date (i.e. the date when the company obtains control) and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss where such treatment would be appropriate if that interest were disposed of.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the company reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period (see above), or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognised at that date.

d. Goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the company's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in profit or loss in the statement of comprehensive income. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

e. Leasehold land

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

f. Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is calculated to write off the cost of property, plant and equipment in equal annual installments over their estimated useful lives.

The annual rates in use are:

Freehold land	Nil
Buildings	2% - 15%
Plant, motor vehicles and other equipment	5% - 25%
Furniture, fittings and office equipment	10% - 33.3%

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

The gain or loss arising on disposal or retirement of an item of property, plant and equipment is determined as the difference between the actual proceeds and

1. ACCOUNTING POLICIES (Continued)

f. Property, plant and equipment (Continued)

the carrying amount of the asset and is recognised in the profit or loss in the year in which the disposal or retirement occurs.

g. Intangible assets

(i) Intangible assets acquired separately

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

(ii) Intangible assets acquired in a business combination

Intangible assets acquired in a business combination and recognised separately from goodwill are initially recognised at their fair value at the acquisition date (which is regarded as their cost).

Subsequent to initial recognition, intangible assets acquired in a business combination are reported at cost less accumulated

amortisation and accumulated impairment losses, on the same basis as intangible assets that are acquired separately.

Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal.

Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

Impairment of tangible and intangible assets other than goodwill

At the end of each reporting period, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years.

A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

h. Non-current assets held for sale

Non-current assets and disposal groups are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the non-current asset (or disposal group) is available for immediate

1. ACCOUNTING POLICIES (Continued)

h. Non-current assets held for sale

sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

When the company is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless of whether the company will retain a non-controlling interest in its former subsidiary after the sale.

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of their previous carrying amount and fair value less costs to sell.

i. Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises purchase price and other costs incurred to bring the inventories to their present location and condition, together with refining costs as appropriate. For products refined locally, costs are allocated over the refinery output in proportion to the appropriate world market prices. Net realisable value is the estimate of the selling price in the ordinary course of business. Specific provision is made for obsolete, slow moving and defective inventories less the estimated costs of completion and the estimated costs to make the sale.

j. Financial instruments

Financial assets and financial liabilities are recognised when a company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition.

Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

Financial assets

Financial assets are classified into the following specified categories: financial assets 'at fair value through profit or loss' (FVTPL), 'held-to-maturity' investments, 'available-for-sale' (AFS) financial assets and 'loans and receivables'. The classification depends on the nature and purpose of the financial assets and is determined at the time of initial recognition. All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

Accounts receivables

Accounts receivables are carried at anticipated realisable value. An estimate is made for doubtful receivables based on the review of all outstanding amounts at the year end. Bad debts are written off when all reasonable steps to recover them have failed.

Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments issued by a company are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the company are recognised at the proceeds received, net of direct issue costs.

Repurchase of the Company's own equity instruments is recognised and deducted directly in equity. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the Company's own equity instruments.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at FVTPL' or 'other financial liabilities'.

Other financial liabilities

Other financial liabilities (including borrowings) are subsequently measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated

1. ACCOUNTING POLICIES (Continued)

j. Financial instruments (Continued)

future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

k. Foreign currencies

In preparing the financial statements of the company, transactions in currencies other than the entity's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences on monetary items are recognised in profit or loss in the period in which they arise except for:

- exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings;

- exchange differences on transactions entered into in order to hedge certain foreign currency risks and

- exchange differences on monetary items receivable from or payable to a foreign operation for which settlement is neither planned nor likely to occur (therefore forming part of the net investment in the foreign operation), which are recognised initially in other comprehensive income and reclassified from equity to profit or loss on repayment of the monetary items.

l. Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

(i) Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

(ii) Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries and associates, and interests in joint ventures, except where the company is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

1. ACCOUNTING POLICIES (Continued)

m. Operating leases

Payments made under operating leases are charged to the statement of comprehensive income on a straight line basis over the period of the lease. Any payment required to be made to the lessor by way of penalty, for termination of lease before the expiry of the lease period, is recognised in the year in which termination takes place.

n. Retirement benefit costs

The company operates a locally registered defined contribution pension fund, an off-shore defined contribution retirement benefits scheme and a defined benefit scheme for its employees. The assets of the schemes are held in separate trustee administered funds.

The schemes are funded by contributions from both the employees and the company. Benefits are paid to retiring staff in accordance with the rules of the respective scheme.

Contributions to defined contribution retirement benefit plans are recognised as an expense when employees have rendered service entitling them to the contributions.

For defined benefit retirement benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at the end of each reporting period. Actuarial gains and losses that exceed 10 per cent of the greater of the present value of the company's defined benefit obligation and the fair value of plan assets as at the end of the prior year are amortised over the expected average remaining working lives of the participating employees. Past service cost is recognised immediately to the extent that the benefits are already vested, and otherwise is amortised on a straight-line basis over the average period until the benefits become vested.

The retirement benefit obligation recognised in the statement of financial position represents the present value of the defined benefit obligation as adjusted for unrecognised actuarial gains and losses and unrecognised past service cost, and as reduced by the fair value of plan assets. Any asset resulting from this calculation is limited to unrecognised actuarial losses and past service cost, plus the present value of available refunds and reductions in future contributions to the plan.

The company also contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to a maximum of KShs 200 per employee per month.

Contributions by the company in respect of retirement benefit costs are charged to profit or loss in the year to which they relate.

Employees' entitlements to annual leave are charged to profit or as they fall due.

o. Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared.

p. Cash and cash equivalents

Cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which are within three months of maturity when acquired, less advances from the bank repayable within three months from the date of advance.

Cash on hand and in banks and short term deposits which are held to maturity are carried at cost plus interest earned but not yet received at the balance sheet date.

q. Earnings per share

Earnings per share are calculated by dividing the net income by the weighted average number of ordinary shares outstanding during the year.

r. Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

2. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the application of the company's accounting policies, which are described in note 1, the directors are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

(a) Critical judgements in applying accounting policies

There are no critical judgements, apart from those

2. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY (Continued)

involving estimations (see b below), that the directors have made in the process of applying the entity's accounting policies and that have the most significant effect on the amounts recognised in financial statements.

(b) Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

Impairment of goodwill

Determining whether goodwill is impaired requires an estimation of the value in use of the cash-generating units to which goodwill has been allocated. The value in use calculation requires the directors to estimate the future cash flows expected to arise from the cash-generating unit and a suitable discount rate in order to calculate present value.

The carrying amount of goodwill at 31 December 2011 was Sh 416, 679,000 (2010 – Sh 416,679,000) and no impairment loss was recognised during the year.

Useful lives of property, plant and equipment

The company reviews the estimated useful lives of property, plant and equipment at the end of each reporting period.

Contingent liabilities

As disclosed in note 29 to these financial statements, the company is exposed to various contingent liabilities in the normal course of business. The directors evaluate the status of these exposures on a regular basis to assess the probability of the company incurring related liabilities. However, provisions are only made in the financial statements where, based on the directors' evaluation, a present obligation has been established.

3. NET SALES ANALYSIS

The major part of the business of the company falls under the category of sale of petroleum products with other income comprising less than 5% of the total income. Segment reporting is therefore not applicable.
Net sales by business channel are shown below.

(i) Business channels

For the year ended December 31,	2011 Kshs'000	2010 Kshs'000
General trade	29,554,926	23,987,456
Network	35,011,138	23,297,337
Aviation	20,973,239	12,771,349
Export and bulk	6,995,746	4,305,720
Total net sales	92,535,049	64,361,862
(ii) Geographical analysis		
Local sales	88,697,633	61,350,869
Export sales	3,837,416	3,010,993
Total net sales	92,535,049	64,361,862

4. COST OF SALES

For the year ended December 31,	2011 Kshs'000	2010 Kshs'000
Product purchases	83,467,587	54,955,273
Other variable costs	4,393,110	4,089,232
Total cost of sales	**87,860,697**	**59,044,505**

5. OTHER INCOME

Rents and commissions	222,444	126,700
Profit on disposal of property, plant and equipment	201,447	255,381
Throughput fees and other income	224,469	144,652
Bad debt recoveries	31,681	40,950
Total other income	**680,041**	**567,683**

6. OTHER OPERATING EXPENSES

Directors' emoluments – fees	1,600	1,600
– other emoluments	41,158	43,385
Payroll and staff (Note 8)	1,084,102	1,040,255
Depreciation	960,743	774,431
Amortisation of prepaid operating leases	79,490	66,162
Amortisation of intangible assets	17,325	135,751
Repairs and maintenance	481,245	347,111
Technical assistance (Note 28(ii))	309,960	258,380
Utilities	163,998	183,325
Operating lease rentals	193,281	197,857
Other expenses	186,867	120,621
Legal and other professional fees	109,125	114,592
Advertising and promotion	105,871	70,043
Impairment on receivables	83,875	61,140
Travelling and reception	80,301	80,161
Insurance	58,167	39,134
Auditor's emoluments	6,896	6,695
Total operating expenses	**3,962,404**	**3,540,643**

7. (a) FINANCE INCOME

Interest income	544	23,267

(b) FINANCE COSTS

Interest on borrowings	1,592,320	976,913

(c) EXCHANGE GAIN/(LOSS)

(c) EXCHANGE GAIN/(LOSS)	**257,637**	**(2,326)**

8. PAYROLL AND STAFF

For the year ended December 31,	2011 Kshs'000	2010 Kshs'000
Personnel expenses		
Wages and salaries	759,383	708,411
Pension costs – defined contribution plan	71,824	62,343
Pension costs – defined benefit plan	196,182	10,846
Staff medical costs	16,262	36,572
Staff training costs	12,470	21,207
Provision for accrued leave	2,065	1,656
Other costs	25,916	199,220
Total personnel expenses	**1,084,102**	**1,040,255**
Average number of employees (permanent staff)	**391**	**386**

9. TAXATION

	2011 Kshs'000	2010 Kshs'000
(i) Taxation charge		
Current taxation based on adjusted profit for the year at 30%	144,242	490,775
Deferred taxation credit (Note 17(ii))	(14,956)	(18,555)
	129,286	**472,220**
(ii) Reconciliation of taxation charge to expected tax based on accounting profit		
Accounting profit before taxation	57,850	1,388,425
Tax at the applicable rate of 30%	17,355	416,528
Tax effect of expenses not deductible for tax	176,308	132,306
Tax effect of income not subject to tax	(64,377)	(76,614)
Taxation charge	**129,286**	**472,220**
(iii) Taxation recoverable/(payable)		
Balance at 1 January	(194,369)	(71,732)
Charge to profit or loss	(144,242)	(490,775)
Payments during the year	464,100	368,138
Balance at 31 December	**125,489**	**(194,369)**

10. EARNINGS PER SHARE

Basic and diluted earnings per share is calculated by dividing the net (loss)/profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year, as shown below:

For the year ended December 31,	2011	2010
(Loss)/profit after taxation (Kshs'000)	(71,436)	916,205
Basic (loss)/earnings per share		
Weighted average number of ordinary and redeemable preference shares used in the calculation of basic earnings per share (In thousands of shares)	298,543	298,543
Basic (loss)/earnings per share (KShs)	(0.24)	3.07

For the purpose of calculating the (loss)/earnings per share, the net (loss)/profit has been allocated to ordinary shares and preference shares to the extent that each instrument shares in the earnings as if all the net (loss)/profit for the year had been distributed.

Diluted earnings per share

The diluted (loss)/ earnings per share is the same as basic (loss)/earnings per share as there were no potentially dilutive instruments outstanding at the end of the reporting period.

11. DIVIDENDS PER SHARE

In June 2011, a dividend of KShs 1.05 per share amounting to KShs 313 million, relating to the year ended 31 December 2010 was paid to shareholders.

The directors are not recommending a dividend in respect of the current year (2010 a first and final dividend of KShs 1.05).

For the year ended December 31,	2011 Kshs'000	2010 Kshs'000
The movement in unclaimed dividend is as follows:		
At 1 January	6,718	7,072
Final dividend declared	313,599	298,543
Dividend paid	(314,465)	(298,897)
Balance at 31 December	**5,852**	**6,718**

Payment of dividends to members is subject to withholding tax at the rate of 5% for residents and 10% for non-residents. For locally incorporated companies, withholding tax is only deductible where the shareholding is below 12.5%.

12. PROPERTY, PLANT AND EQUIPMENT

	Land and buildings	Plant, motor vehicles and office equipment	Furniture, fittings and office equipment	Capital work in Progress	Total Kshs'000
COST					
1 January 2010	**2,059,048**	**5,661,785**	**613,645**	**196,254**	**8,530,732**
Additions	60,235	406,259	30,700	42,789	539,983
Transfer from goodwill (note 14(b))	1,494,993	4,484,979	-	-	5,979,972
Disposals	(68,021)	(101,829)	(3,621)	(842)	(174,313)
Transfer from work in progress	9,801	154,554	3,120	(169,377)	(1,902)
Reclassification to assets held for sale	(120,213)	(300,660)	(4,424)	-	(425,297)
31 December 2010	**3,435,843**	**10,305,088**	**639,420**	**68,824**	**14,449,175**
1 January 2011	**3,435,843**	**10,305,088**	**639,420**	**68,824**	**14,449,175**
Additions	28,866	208,217	31,367	239,355	507,805
Disposals	-	(36,209)	(8,583)	-	(44,792)
Transfer from work in progress	1,926	13,956	10,190	(26,072)	-
31 December 2011	**3,466,635**	**10,491,052**	**672,394**	**282,107**	**14,912,188**
DEPRECIATION					
1 January 2010	**932,620**	**3,628,663**	**525,606**	**-**	**5,086,889**
Charge for the year	76,256	663,182	34,993	-	774,431
Eliminated on disposal	(20,687)	(74,219)	(2,237)	-	(97,143)
Reclassification to assets held for sale	(63,617)	(226,268)	(3,344)	-	(293,229)
31 December 2010	**924,572**	**3,991,358**	**555,018**	**-**	**5,470,948**
1 January 2011	**924,572**	**3,991,358**	**555,018**	**-**	**5,470,948**
Charge for the year	175,907	745,271	39,565	-	960,743
Eliminated on disposal	-	(30,070)	(8,385)	-	(38,455)
Reclassified from intangible assets	-	68,000	-	-	68,000
31 December 2011	**1,100,479**	**4,774,559**	**586,198**	**-**	**6,461,236**
NET BOOK VALUE					
31 December 2011	**2,366,156**	**5,716,493**	**86,196**	**282,107**	**8,450,952**
31 December 2010	**2,511,271**	**6,313,730**	**84,402**	**68,824**	**8,978,227**

Property, plant and equipment with a cost of Sh 2,670,014,349 (2010 – Sh 2,206,295,142) were fully depreciated as at 31 December 2011.The notional depreciation charge in respect of these property, plant and equipment amount to Sh 682, 806,840 (2010 – Sh 603,755,045).

The capital work in progress relate mainly to construction work (e.g. rebranding and remodelling of stations) and technical installations being undertaken by the company.

Property, plant and equipment with net book value of Sh 8,450,952,000(2010 – Sh 8,978,227,000) have been charged to secure banking facilities granted to the company as disclosed in note 24.

Based on an impairment review performed by the directors as at 31 December 2011 no indications of impairment of property, plant and equipment were identified. (2010: none).

13. PREPAID OPERATING LEASES

	2011 Kshs'000	2010 Kshs'000
COST		
At 1 January	**1,012,094**	**937,612**
Additions	173,636	122,936
Disposals	(7,920)	(20,828)
Reclassification to assets held for sale	-	(27,626)
At 31 December	**1,177,810**	**1,012,094**
AMORTISATION		
At 1 January	416,045	381,536
Amortisation for the year	79,490	66,162
Disposals	(2,351)	(14,272)
Reclassification to assets held for sale	-	(17,381)
At 31 December	**493,184**	**416,045**
NET BOOK VALUE		
At 31 December	**684,626**	**596,049**

The prepaid operating leases relate to amounts that the company has paid for the leased land on which most of its stations and depots stand.

The prepaid operating leases with net book value of Sh 684,626,000 (2010 – Sh 596,049,000) have been charged to secure banking facilities granted to the company as disclosed in note 24.

14. GOODWILL

	2011 Kshs'000	2010 Kshs'000
COST		
Balance at beginning of year	**528,879**	**6,508,851**
Transfers to property, plant and equipment	-	(5,979,972)
Balance at end of year	**528,879**	**528,879**
Accumulated impairment losses		
Balance at beginning and end of year	(112,200)	(112,200)
	416,679	**416,679**
(a) Goodwill arising from acquisition of Elf Oil Kenya Limited		
COST	**448,804**	**448,804**
Accumulated impairment losses	(112,200)	(112,200)
	336,604	**336,604**

Goodwill amounting to Sh 448,804,000 arose from the acquisition of a subsidiary, Elf Oil Kenya Limited, in March 2001.With effect from 1 January 2005, the operations of Elf Oil Kenya Limited were merged with those of Total Kenya Limited and this was achieved through a business sale agreement which resulted in the transfer of all Elf Oil Kenya Limited business, assets and liabilities to Total Kenya Limited.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to two cash generating units as follows:

- Network service station operations – cash flows and profits from acquired stations
- Rental fees income generation – fees paid by dealers operating acquired stations

Both units continue to generate positive cash flows and goodwill has been globally allocated to both. The recoverable amount of the cash generating units is based on value in use calculation which uses cash flow projections based on annual network business financial budgets and a long term business plan approved by management covering a ten year period.

The cash flows from the cash generating units are based on expected return on capital invested at between 10% to 25% and a stable market share. Management is of the opinion that any possible reasonable change in these assumptions would not cause the global carrying amount to exceed the recoverable amount.

At 31 December 2011, no impairment loss was assessed (2010: nil).

14. GOODWILL (continued)

(b) Goodwill arising from acquisition of Total Marketing Kenya Limited

	2011 Kshs'000	2010 Kshs'000
COST		
Balance at beginning of year	**80,075**	**6,060,047**
Transfers to property, plant and equipment (note 12)	-	(5,979,972)
Balance at end of year	**80,075**	**80,075**
Accumulated impairment losses		
Balance at beginning and end of year	-	-
	80,075	**80,075**

Goodwill amounting to Sh 6,060,047,000 arose from the acquisition of Total Marketing Kenya Limited. With effect from 1 November 2010, the operations of Total Marketing Kenya Limited were merged with those of Total Kenya Limited and this was achieved through a business sale agreement which resulted in the transfer of all Total Marketing Kenya Limited business, assets and liabilities to Total Kenya Limited.

The initial accounting for the acquisition of Total Marketing Kenya Limited had only been provisionally determined at the end of the prior year reporting period. The fair valuation of acquired assets and liabilities was performed and completed on 30 April 2010. This resulted in a change in the amount of fair values of net assets acquired and hence the goodwill recognised. An amount of Ksh 5,979,972 representing the excess of fair values over net book value of assets acquired was transferred from goodwill to property, plant and equipment in 2010.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to the following cash generating unit:

- Depot - cash flows and profits from acquired depot

The recoverable amount of the depot as a cash-generating unit is determined based on a value in use calculation which uses cash flow projections based on financial budgets approved by the directors covering a ten-year period, and a discount rate of 11% per annum (2010:11% per annum). Cash flows beyond that ten-year period have been extrapolated using a steady 3% (2010:3%) per annum growth rate in blended volume.

The directors believe that a 3% per annum growth rate is reasonable in view of the petroleum market projections within the region and, their intention to focus the Company's operations in this market.

The directors believe that any reasonably possible change in the key assumptions on which recoverable amount is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the cash-generating unit.

At 31 December 2011, no impairment loss was assessed (2010: nil).

The two subsidiary companies, Elf Oil Kenya Limited and Total Marketing Kenya Limited have not been consolidated as they are dormant and insignificant having transferred their assets and liabilities to Total Kenya Limited.

15. INTANGIBLE ASSETS

	2011 Kshs'000	2010 Kshs'000
COST		
At 1 January	**380,565**	**295,681**
Additions	2,938	82,982
Transfers from property, plant and equipment	-	1,902
At 31 December	**383,503**	**380,565**
AMORTISATION		
At 1 January	312,836	177,085
Charge for the year	17,325	135,751
Reclassified to property, plant and equipment	(68,000)	-
At 31 December	**262,161**	**312,836**
NET BOOK VALUE		
At 31 December	**121,342**	**67,729**

The intangible assets relate to accounting, payroll and other computer software acquired by the company.

16. OTHER ASSETS

	2011 Kshs'000	2010 Kshs'000
At 1 January	108,916	154,145
Expensed during the year	(38,499)	(45,229)
At 31 December	**70,417**	**108,916**
Maturity analysis:		
Current	31,756	38,499
Non current	38,661	70,417
At 31 December	**70,417**	**108,916**

Other assets consist of prepaid loan commitment fees, legal and professional fees incurred to raise the medium term borrowing from a consortium of local banks. These costs are amortized over the life of the underlying medium term borrowings using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the debt instrument, or, where appropriate, a shorter period, to the net carrying amount on initial recognition.

17. DEFERRED TAX ASSET

(i) The net deferred tax asset is attributable to the following:

As of December 31,	2011 Kshs'000	2010 Kshs'000
Accelerated depreciation	(142,617)	(124,438)
Unrealised exchange differences	87,848	58,231
General provisions	(92,186)	(65,792)
Net deferred tax asset	**(146,955)**	**(131,999)**

(ii) Movement on the deferred tax account is as follows:

At 1 January	**(131,999)**	**(113,444)**
Tax credit recognized in profit or loss (Note 9 (i))	(14,956)	(18,555)
At 31 December	**(146,955)**	**(131,999)**

Deferred taxation is estimated on all temporary differences under the liability method using the currently enacted tax rate of 30% (2010 - 30%).

18. INVENTORIES

As of December 31,	2011 Kshs'000	2010 Kshs'000
Refined products	8,002,282	7,424,066
Raw material and crude oil	3,914,838	1,943,674
Consumables and accessories	197,130	219,071
Provision for obsolete and defective stocks	(75,236)	(69,870)
Total inventories	**12,039,014**	**9,516,941**

19. TRADE AND OTHER RECEIVABLES

As of December 31,	2011 Kshs'000	2010 Kshs'000
Trade receivables	8,467,659	6,847,237
Allowance for doubtful debts	(465,627)	(592,253)
	8,002,032	6,254,984
Recoverable taxes	1,297,139	1,351,333
Other receivables and prepayments	107,703	385,386
Total trade and other receivables	**9,406,874**	**7,991,703**

Recoverable taxes relate to advance payments for excise duty on petroleum products.

20. RELATED COMPANY BALANCES

(i) Amounts due from related companies in thousand of Kshs

As of December 31,	2011 Kshs'000	2010 Kshs'000
Air Total International	1,585,317	1,139,360
NETCO Management Limited	214,448	166,643
Total Uganda Limited	175,170	211,425
Total Malawi	27,828	-
Fina Congo S.A.R.L	10,301	32,549
Total Tanzania Limited	-	471
Other Related companies	1,222	-
	2,014,286	**1,550,448**

(ii) Amounts due to related companies

Total Uganda Limited	37,615	-
Total Raffinage Marketing	33,313	42,077
Air Total International	15,634	-
Total Middle East	-	39,111
	86,562	**81,188**

21. ASSETS CLASSIFIED AS HELD FOR SALE

As of December 31,	2011 Kshs'000	2010 Kshs'000
Property, plant and equipment	46,576	132,068
Prepaid operating leases	4,844	10,245
	51,420	**142,313**

The company intends to dispose off some stations and other facilities in the next 12 months. These are still being used for the company's operations awaiting conclusion of transfer of titles. Buyers have already been identified and sale and purchase agreements signed between the company and the buyers.

No impairment loss was recognized on reclassification of the assets from property, plant and equipment and prepaid operating leases to assets classified as held for sale as at 31 December 2011 as the expected proceeds on disposal exceed the net carrying amounts of the assets.

22. SHARE CAPITAL

As of December 31,	2011 Kshs'000	2010 Kshs'000
Authorised ordinary shares		
KShs 5 each	181,630	181,630
Authorised redeemable preference shares		
KShs 31.58 each	**123,478**	**123,478**
Issued ordinary share capital	875,324	875,324
Issued redeemable preference share capital	3,899,447	3,899,447
	4,774,771	**4,774,771**
Issued capital comprises:		
175,064,706 fully paid ordinary shares		
(2010: 175,064,706)	875,324	875,324
123,478, 388 fully paid redeemable preference shares		
(2010: 123,478,388)	3,899,447	3,899,447
	4,774,771	**4,774,771**

22. SHARE CAPITAL (Continued)

Fully paid ordinary and preference shares	2011 Number of Shares	2011 Share Capital Kshs'000	2010 Number of Shares	2010 Share Capital Kshs'000
At 1 January				
Ordinary shares	175,065	875,324	175,065	875,324
Issued redeemable preference shares	123,478	3,899,447	123,478	3,899,447
At 31 December	**298,543**	**4,774,771**	**298,543**	**4,774,771**

The fully paid ordinary shares which have a par value of Sh 5 carry one vote per share and carry a right to dividends.

The redeemable non cumulative preference shares which have an issue price of Sh 31.58 do not have any voting rights but have the same rights to dividends as the ordinary shares. The right to redemption of the redeemable preference shares is at the discretion of the company hence they have been classified as equity.

23. SHARE PREMIUM

As of December 31,	2011 Kshs'000	2010 Kshs'000
As of 1 January and 31 December	1,967,520	1,967,520

This is a non distributable reserve as per the requirements of the Kenyan Companies Act.

24. MEDIUM TERM BORROWINGS

As of December 31,	2011 Kshs'000	2010 Kshs'000
Secured - at amortised cost		
At beginning of the year	**3,978,000**	**4,680,000**
Repayments during the year	(702,000)	(702,000)
At end of the year	**3,276,000**	**3,978,000**
Maturing as follows;		
Within one year	702,000	702,000
In second year	1,170,000	702,000
In third to fifth year	1,404,000	2,574,000
	3,276,000	**3,978,000**
Due for settlement within one year	**702,000**	**702,000**
Due for settlement after one year	**2,574,000**	**3,276,000**

The medium term facility was made available to finance a portion of the consideration for the purchase of Total Marketing Kenya Limited. It is denominated in Kenya Shillings and is repayable in quarterly principal instalments over a period of 5 years. The first instalment was due on 31 March 2010.

The loan is secured by;

a) All assets debenture.
b) Pledge of shares in Total Marketing Kenya Limited.
c) Mortgage granted over the property known as LR Number 214/110, Nairobi.
d) Charge granted over the property known as LR Number 3734/383, Nairobi.
e) Charge granted over the property known as LR Number 209/15789, Nairobi

The weighted average effective interest rate on the borrowings is 10.79% (2010: 10.51%).

25. TRADE AND OTHER PAYABLES

As of December 31,	2011 Kshs'000	2010 Kshs'000
Trade payables	5,594,852	5,668,139
Other payables and accruals	1,726,809	4,607,097
Total payables	7,321,661	10,275,236
Non current	**446,584**	**428,925**
Current	**6,875,077**	**9,846,311**

Non current other payables mainly relate to LPG cylinder deposits and retirement benefit plan obligations as disclosed under note 31.

Interest is only charged on trade payables due to purchase of petroleum products at rates set by the Open Tender Supply (OTS) agreement. The company has financial risk management policies in place to ensure that all payables are paid within the credit time frame.

26. SHORT TERM BANK BORROWINGS

As of December 31,	2011 Kshs'000	2010 Kshs'000
Unsecured - at amortised cost		
Bank overdrafts	2,933,074	1,169,375
Short term bank loans	8,768,092	4,728,000
Total short term borrowings and bank overdraft	**11,701,166**	**5,897,375**

Bank overdraft facilities are held with various financial institutions, primarily international stable local banks, and are unsecured. The facilities are operated within designated limits and under the terms and conditions stipulated by the financial institutions.

The short term bank loans are interest bearing and are drawn from various financial institutions with maturity periods not exceeding 3 months (2010: 3 months).

Interest rates

The borrowings are repayable on demand or within three months and are unsecured. The interest on these borrowings is based on prevailing money market rates. The weighted average interest rates paid on borrowings during the year were as follows:

For the year ended December 31,	2011	2010
Average interest rate on short term borrowings and bank overdrafts	**10.19%**	**7.00%**

Analysis by currency

As of December 31,	2011 Kshs'000	2010 Kshs'000
In Usd	602,350	608,427
In Kshs	11,098,816	5,288,948
	11,701,166	5,897,375

27. NOTES TO THE CASH FLOW STATEMENT

(i) Reconciliation of operating profit to cash generated from operations

For the year ended December 31,	2011 Kshs'000	2010 Kshs'000
Profit before taxation	**57,850**	**1,388,425**
Adjustments for:		
Finance income (Note 7(a))	(544)	(23,267)
Finance costs (Note 7(b))	1,592,320	976,913
Depreciation (Note 12)	960,743	774,431
Amortisation – prepaid operating leases (Note 13)	79,490	66,162
Amortisation – intangible assets (Note 15)	17,325	135,751
Amortisation - assets held for sale	14,237	-
Profit on disposal of property, plant and equipment prepaid operating leases and assets held for sale	(201,447)	(255,381)
Operating profit before working capital changes	**2,519,974**	**3,063,034**
Increase in inventories	(2,522,073)	(1,640,473)
(Increase)/decrease in trade and other receivables	(1,415,171)	2,826,831
(Decrease)/increase in trade and other payables	(2,953,575)	1,904,167
Increase in amounts due to holding company	3,249,169	182,316
Movement in balances with related companies	(458,464)	(1,390)
Decrease in other assets	38,499	45,229
Cash (used in)/generated from operations	**(1,541,641)**	**6,379,714**

(ii) Analysis of cash and cash equivalents

As of December 31,	2011 Kshs'000	2010 Kshs'000
Cash and bank balances	1,670,112	874,673
Bank overdrafts (Note 26)	(2,933,074)	(1,169,375)
Short term loans (Note 26)	(8,768,092)	(4,728,000)
Cash and cash equivalents	(10,031,054)	(5,022,702)

Cash and cash equivalents
For the purposes of the statement of cash flows, cash and cash equivalents includes cash on hand and in banks, short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired, net of outstanding bank overdrafts and short term loans.

28. RELATED PARTY TRANSACTIONS

(i) Transactions with related companies

During the year, the company made purchases amounting to KShs 6,682 million (2010 – KShs 4,594 million) from the holding company and other companies related to it by virtue of common shareholding. The company also earned revenue of KShs 2,300 million (2010 – KShs 1,654 million) from related companies.

Sales and purchases to/from related parties were made on terms and conditions similar to those offered to major customers or available from major suppliers.

(ii) Amounts due to holding company

The company purchased plant and equipment amounting to KShs 171 million (2010- KShs 80 million) from the holding company and other companies related to it by virtue of common shareholding. The company also has technical assistance agreements with the holding company for which it paid fees for the year amounting to KShs 310 million (2010- KShs 258 million) as disclosed on note 6.

The amount due to the holding company in relation to the above transactions is KShs 3,612 million (2010 – KShs 363 million) as set out on the statement of financial position. Other amounts due to/from related companies are shown on note 20.

(iii) Key management compensation

The remuneration of directors and other members of key management were as follows:

As of December 31,	**2011 Kshs'000**	**2010 Kshs'000**
Salaries and other short-term employment benefits	195,848	130,500
Post-employment benefits	4,411	6,366
	200,259	136,866
(iv) Directors' remuneration		
Fees for services as a director	1,600	1,600
Other emoluments		
Salaries and other short-term employment benefits	40,229	41,334
Post-employment benefits	929	2,051
	41,158	43,385
Total	**42,758**	**44,985**

29. COMMITMENTS AND CONTINGENCIES

(a) Contingent Liabilities

Guarantees and bonds

As of December 31,	2011 Kshs'000	2010 Kshs'000
Total commitments given	1,609,694	1,927,761
Total commitments received	1,190,406	1,658,658

Commitments given include primarily customs bonds. The bonds are held in the ordinary course of business. No losses are anticipated in respect of these contingent liabilities.

Commitments received include primarily customer guarantees.

Commitments received/given are all held with local banks

Legal claims

i) In 1999, a supplier instituted a claim of Sh 44,100,000 for damages relating to termination of transporter agreement.

ii) In 2010, a distributor filed a claim of Sh 75,950,163 against the company for refund for product allegedly paid and never supplied, loss of income and damages for alleged assault during station take-over.

iii) Glencore has claimed USD 6,889,704.84 plus interests in the sum of USD 1,036,032.37 allegedly pursuant to a payment undertaking issued by Total Kenya Ltd to BNP Paribas. It relates to deliveries allegedly made by Triton. The matter is currently before the London Court.

Based on legal advice received from the company's lawyer, the directors are of the opinion that the liabilities will not crystallize.

Contingent liability relating to parent company

An amount of KShs 206 million (USD 2,427,388) (2010: KShs 196 million (USD 2,427,388) exists as at 31 December 2011 for an unsettled invoice to the parent company, Total Outremer, and has not been provided for in the Total Kenya Limited's books as the goods were not received by Total Kenya Limited. Management is keenly following up on the matter and is of the view that the ultimate resolution of this matter will not have any impact on the company's financial position or liquidity.

Capital commitments

As of December 31,	2011 Kshs'000	2010 Kshs'000
Authorised and contracted for	312,125	100,431
Authorised but not contracted for	1,024,193	730,323

29. COMMITMENTS AND CONTINGENCIES (Cont')

(b) Contingent Assets

Industry dispute

The company is involved in a dispute with other oil companies over the price to be applied for the re-invoicing of November 2004 industry crude import which was shipped by the company under the contractual arrangements of the Open Tender System (OTS). The matter was determined in the company's favour but other oil companies have lodged an appeal and the matter referred for arbitration. The company's directors and legal advisers are of the opinion that the final decision will be in their favor. The total amount in dispute over the tender is KShs 106 million, which has been fully provided for in the financial statements.

Dispute with a supplier

The company is also involved in a dispute with a supplier over the non delivery of product paid for but not received. The net exposure of KShs 171 million has been fully provided for in the financial statements.

30. OPERATING LEASE COMMITMENTS

As of December 31,	2011 Kshs'000	2010 Kshs'000
Maturing within one year	18,700	17,010
Maturing over one year to five years	20,425	49,998
Total operating lease commitments	**39,125**	**67,008**

All the commitments relate to future rent payable for the head office (Regal plaza) based on the existing contracts.

31. RETIREMENT BENEFIT PLANS

(a) Defined contribution plan

The company operates a defined contribution retirement benefit plan for all qualifying employees. The assets of the plan are held separately from those of the company in funds under the control of trustees. Where employees leave the plan prior to full vesting of the contributions, the contributions payable by the company are reduced by the amount of forfeited contributions.

The total expense recognised in the loss for the year of Sh 71 Million (2010: Sh 62 Million) represents contributions payable to the plan by the company at rates specified in the rules of the plan. As at 31 December 2011, contributions of Sh 3 Million (2010: Sh 5 Million) due in respect of the reporting period had not been paid over to the plan. The amounts were paid subsequent to the end of the reporting period.

(b) Defined benefit plan

The company operates a funded defined benefit plan for qualifying employees. Under the plan, the employees are entitled to retirement benefits of 0.125% (2010: 1.515%) of final salary on attainment of a retirement age of 65. No other post-retirement benefits are provided to these employees.

The most recent actuarial valuations of plan assets and the present value of the defined benefit obligation were carried out at 31 December 2011 by Actuarial and Benefit Consultants Limited. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method.

31. RETIREMENT BENEFIT PLANS (Cont')

(b) Defined benefit plan (Continued)

The principal assumptions used for the purposes of the actuarial valuations were as follows.

As of December 31,	Valuation 2011 Kshs'000	Valuation 2010 Kshs'000
	%	%
Discount rate(s)	10	10
Expected return on plan assets	10	10
Expected rate(s) of salary increase	4	8

Amounts recognised in profit or loss in respect of these defined benefit plans are as follows.

As of December 31,	2011 Kshs'000	2010 Kshs'000
Current service cost	13,784	11,559
Interest on obligation	37,100	28,356
Expected return on plan assets	(32,376)	(29,069)
Actuarial (gains)/losses recognised in the year	294,098	1,810
Impact of plan changes	(116,424)	-
Past service cost	-	-
Expense recognised in profit or loss	**196,182**	**10,846**

The expense for the year is included in the employee benefits expense in the statement of comprehensive income (note 8).

The amount included in the statement of financial position arising from the entity's obligation in respect of its defined benefit plans is as follows.

	2011 Kshs'000	2010 Kshs'000
Present value of funded defined benefit obligation	419,555	371,004
Fair value of plan assets	(235,271)	(323,761)
Deficit/(surplus)	184,284	47,243
Net actuarial (losses)/gains not recognised	-	(7,243)
Net liability arising from defined benefit obligation (recognized and included in non current other payables and accruals note 25)	184,284	40,000

Also, the company contributes to the statutory defined contribution pension scheme, the National Social Security Fund. Contributions to the statutory scheme are determined by local statute and are currently limited to Sh 200 per employee per month. Contributions to this scheme during the year amounted to Sh 863,000 (2010 - Sh 893,200).

32. CAPITAL RISK MANAGEMENT

The company manages its capital to ensure that it is able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance. The company's overall strategy remains unchanged from 2010.

The capital structure of the company consists of debt, which includes the borrowings disclosed in notes 24 and 26 respectively, cash and cash equivalents and equity attributable to equity holders, comprising issued capital, reserves and retained earnings as disclosed in notes 22 and 23.

Gearing ratio

The gearing ratio at the end of the year was as follows

As of December 31,	2011 Kshs'000	2010 Kshs'000
Medium term borrowings – non current (Note 24)	2,574,000	3,276,000
Medium term borrowings – current (Note 24)	702,000	702,000
Short term borrowings (Note 26)	11,701,166	5,897,375
Bank and cash balances (Note 27 (ii))	(1,670,112)	(874,673)
Net borrowings	**13,307,054**	**9,000,702**
Equity*	9,194,818	9,579,853
Net debt to equity ratio	**145%**	**94%**

*Equity includes capital and reserves.

33. FINANCIAL RISK MANAGEMENT

Financial risk management objectives

The company's corporate treasury function provides services to the business, co-ordinates access to domestic financial markets, monitors and manages the financial risks relating to the operations of the company through internal risk reports which analyse exposures by degree and magnitude of risks. These risks include market risk (including currency risk, fair value interest rate risk and price risk), credit risk, liquidity risk and cash flow interest rate risk.

The company seeks to minimise the effects of these risks by using derivative financial instruments to hedge these risk exposures. The use of financial derivatives is governed by the Total Group's policies, which provide written principles on foreign exchange risk, interest rate risk, credit risk, the use of financial derivatives and non-derivative financial instruments, and the investment of excess liquidity. Compliance with policies and exposure limits is reviewed by the internal auditors on a continuous basis. The company does not enter into or trade in financial instruments, including derivative financial instruments, for speculative purposes.

The company's treasury function reports monthly to the Group's treasury, a section of the Group that monitors risks and policies implemented to mitigate risk exposures.

Market risk

The activities of the company expose it primarily to the financial risks of changes in foreign currency exchange rates and interest rates. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities. To manage the foreign exchange risk, the Company maintains bank accounts in foreign denominated currencies mainly US dollars and Euro to facilitate transactions in foreign currency. The company also negotiates with its bankers to get favourable exchange rates when converting foreign currencies to the Kenya shilling.

33. FINANCIAL RISK MANAGEMENT (Continued)

Foreign currency sensitivity analysis

The Company purchases its products mainly in US Dollars and mainly buys US Dollars via spot deals as opposed to forward deals. However, when there is reliable information in the market about the anticipated exchange rate movements in the US Dollar to the Kenya Shilling, the Company enters into short term forward deals to mitigate foreign exchange risks.

There has been no change to the company's exposure to market risks or the manner in which it manages and measures the risk.

The main currency exposure that the company is exposed to relate to the fluctuation of the Kenya Shillings exchange rates with the US Dollar, Euro and Pound currencies.

The table below details the company's sensitivity to a 10% increase and decrease in the Kenya Shilling against the relevant foreign currencies. The sensitivity analysis includes only outstanding foreign currency denominated monetary items and adjusts their translation at the period end for a 10% change in foreign currency rates. The sensitivity analysis includes external loans. A negative number below indicates an increase in profit and other equity where the Kenya Shilling strengthens 10% against the relevant currency. For a 10% weakening of the Kenya Shilling against the relevant currency, there would be an equal and opposite impact on the profit and other equity, and the balances below would be positive.

	2011 Kshs'000	2010 Kshs'000
USD Impact	67,120	286,863
Euro Impact	29,182	3,398

The US Dollar impact is mainly attributable to the exposure on outstanding US Dollar receivables, payables and overdraft at the year end, the Euro impact is mainly attributable to the exposure on outstanding Euro receivables and payables at the year end.

The sensitivity analysis is unrepresentative of the inherent foreign exchange risk as the year end exposure does not reflect the exposure during the year.

Interest rate risk management

The company is exposed to interest rate risk as it borrows funds at both fixed and floating interest rates. The risk is managed by the company by maintaining an appropriate mix between fixed and floating rate borrowings. Hedging activities are evaluated regularly to align with interest rate views and defined risk appetite.

The company's exposures to interest rates on financial assets and financial liabilities are detailed in the liquidity risk management section of this note.

33. FINANCIAL RISK MANAGEMENT (Cont')

Interest rate sensitivity analysis

The analysis is prepared assuming the amount of liability outstanding at the balance sheet date was outstanding for the whole year.

If interest rates had been 0.5% higher/lower and all other variables were held constant, the company's profit before tax for the year ended 31 December 2011 would decrease/increase by KShs 79.6 million (2010: by KShs 48.8 Million). This is mainly attributable to the company's exposure to interest rates on its borrowings and overdraft.

The company's sensitivity to interest rates has increased during the current period mainly due to the increase in financial requirements.

Credit risk management

Credit risk refers to the risk of financial loss to the company arising from a default by counterparty on its contractual obligations. The company's policy requires that it deals only with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. This information is supplied by independent rating agencies where available. If not available, the company uses other publicly available financial information and its own trading records to rate its major customers. The company's exposure and the credit ratings of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties. Credit exposure is controlled by counterparty limits that are reviewed and approved by the risk management committee.

Trade receivables consist of a large number of customers, spread across diverse industries and geographical areas. Ongoing credit evaluation is performed on the financial condition of accounts receivable and, where appropriate, credit guarantee is requested.

The company does not have any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The company defines counterparties as having similar characteristics if they are related entities. The credit risk on liquid funds and derivative financial instruments is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies.

The company's maximum exposure to credit risk as at 31 December 2011 is analysed in the table below:

	Fully Performing Kshs'000	Past Due Kshs'000	Impaired Amount Kshs'000	Total Kshs'000
Network	524,749	21,120	87,212	633,081
Non-Network	7,016,816	439,350	378,415	7,834,581
Trade receivables	**7,541,565**	**460,470**	**465,627**	**8,467,662**
Other receivables	64,456	-	-	64,456
Bank balances	1,670,112			1,670,112

33. FINANCIAL RISK MANAGEMENT (Continued)

Credit risk management (Cont')

The company's maximum exposure to credit risk as at 31 December 2010 is analysed in the table below:

	Fully Performing Kshs'000	Past Due Kshs'000	Impaired Amount Kshs'000	Total Kshs'000
Network	406,927	-	83,089	490,016
Non-Network	4,874,818	973,239	509,164	6,357,221
Trade receivables	**5,281,745**	**973,249**	**592,253**	**6,847,237**
Other receivables	126,663	-	-	126,663
Bank balances	873,244	-	-	873,244

The default risk on the customers under the fully performing category is very low as they are active in paying their debts as they continue trading. The past due amounts have not been provided for since the amounts continue to be paid. The impaired amounts have been fully provided for in these financial statements.

Liquidity risk management

The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. Included in financing facilities section of this note, is a listing of additional undrawn facilities that the company has at its disposal to further reduce liquidity risk.

Financing facilities

	2011 Kshs'000	2010 Kshs'000
Unsecured bank loans and overdraft, payable at call and reviewed annually		
Amount used	11,701,166	5,897,375
Amount unused	7,907,547	11,122,625
Total Facilities	**19,608,713**	**17,020,000**

33. FINANCIAL RISK MANAGEMENT (Continued)

Liquidity risk management (Cont')

The table below shows the breakdown of amounts used with 6 main banks at the end of the reporting period.

	2011 Carrying Amount Kshs'000	2010 Carrying Amount Kshs'000
Bank		
Standard Chartered Bank	3,000,000	1,100,000
Barclays Bank	2,500,000	1,468,000
Citibank	1,700,000	-
Commercial Bank Of Africa	860,000	500,000
Bank of Africa	602,350	600,000
CfC Stanbic Bank	-	700,000
Eco bank	-	360,000
Total	**8,662,350**	**4,728,000**

The following table analyses the company's financial liabilities(in thousand of Kshs) that will be settled on a net basis into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date.

At 31 December 2011	Up to 1 month	1-3 months	4-12 months	> 1 year	Total
Medium term loan	-	175,500	526,500	2,574,000	3,276,000
Short term bank loans	11,701,166	-	-	-	11,701,166
Bank overdrafts	2,933,074	-	-	-	2,933,074
Trade payables	5,594,852	-	-	-	5,594,852
Financial guarantees given	-	-	1,609,694	-	1,609,694
Total financial liabilities	**20,229,092**	**175,500**	**2,136,194**	**2,574,000**	**25,114,786**
At 31 December 2010					
Medium term loan	-	175,500	526,500	3,276,000	3,978,000
Short term bank loans	4,728,000	-	-	-	4,728,000
Bank overdrafts	1,169,375	-	-	-	1,169,375
Trade payables	5,668,139	-	-	-	5,668,139
Financial guarantees given	-	-	1,927,761	-	1,927,761
Total financial liabilities	**11,565,514**	**175,500**	**2,454,261**	**3,276,000**	**17,381,275**

34. FAIR VALUE

The directors consider that where fair values of financial assets and liabilities have not been disclosed, their fair values are not significantly different from their carrying values.

35. ASSETS PLEDGED AS SECURITY

As at 31 December 2011, assets pledged by the company to secure liabilities are as disclosed under note 24 (2010: note 24).

36. INCORPORATION

Total Kenya Limited is a limited liability company incorporated and domiciled in Kenya under the Kenyan Companies Act. The parent company is Total Outre Mer while the ultimate holding company is Total S.A, both incorporated in France.

37. CURRENCY

The financial statements are presented in thousand of Kenya Shillings (in thousand of Kshs).

FIVE-YEAR SUMMARIZED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As of December 31,	2011 Kshs'000	2010 Kshs'000	2009 Kshs'000	2008 Kshs'000	2007 Kshs'000
ASSETS					
Non-current assets					
Property, equipment and leases	9,135.6	9,574.3	3,999.9	2,321.4	2,301.6
Goodwill	416.7	416.7	6,396.7	336.6	336.6
Other intangible assets	160.0	138.1	227.5	26.2	53.3
Deferred taxation	147.0	132.0	113.4	78.9	46.1
Total non-curent assets	**9,859.3**	**10,261.1**	**10,737.5**	**2,763.1**	**2,737.6**
Current assets					
Inventories	12,039.0	9,516.9	7,876.5	4,051.6	3,438.9
Other current assets	11,578.4	9,580.6	12,404.5	6,163.1	5,502.5
Cash and cash equivalent	1,670.1	874.7	509.7	1,548.9	833.7
	25,287.5	**19,972.2**	**20,790.7**	**11,763.6**	**9,775.1**
Assets classified as held for sale	51.4	142.3	-	-	-
Total current assets	**25,338.9**	**20,114.5**	**20,790.7**	**11,763.6**	**9,775.1**
TOTAL ASSETS	**35,198.2**	**30,375.6**	**31,528.2**	**14,526.7**	**12,512.7**
EQUITY AND LIABILITIES					
Capital and reserves					
Share capital	4,774.7	4,774.7	4,774.7	875.3	875.3
Share premium	1,967.5	1,967.5	1,967.5	1,967.5	1,967.5
Revenue reserves	2,452.6	2,837.5	2,219.9	2,175.0	1,908.7
Total capital and reserves	**9,194.8**	**9,579.7**	**8,962.1**	**5,017.8**	**4,751.5**
Non current liabilities					
Medium term loan	2,574.0	3,276.0	3,978.0	-	-
Other payables	446.5	428.9			
Current liabilities					
Trade and other payables	10,579.7	10,491.7	8,703.5	4,467.4	4,984.7
Short term borrowings	11,701.2	5,897.3	9,182.6	5,041.5	2,776.5
Medium term loan	702.0	702.0	702.0	-	-
Total current liabilities	**22,982.9**	**17,091.0**	**18,588.1**	**9,508.9**	**7,761.2**
TOTAL EQUITY AND LIABILITIES	**35,198.2**	**30,375.6**	**31,528.2**	**14,526.7**	**12,512.7**

FIVE-YEAR SUMMARIZED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

As of December 31,	2011 Kshs'000	2010 Kshs'000	2009 Kshs'000	2008 Kshs'000	2007 Kshs'000
Gross sales	**105,590.4**	**79,206.6**	**41,311.5**	**54,807.5**	**44,109.7**
Indirect taxes and duties	(13,055.3)	(14,844.8)	(8,634.4)	(10,246.6	(9,352.0)
Net sales	**92,535.1**	**64,361.8**	**32,677.1**	**44,560.9**	**34,757.7**
Cost of sales	(87,860.7)	(59,044.5)	(29,868.1)	(41,667.5)	(32,322.3)
Gross profit	**4,674.4**	**5,317.3**	**2,809.0**	**2,893.4**	**2,435.4**
Expenses and other income	(3,024.7)	(2,977.3)	(1,549.1)	(1,497.3)	(1,367.2)
Interest charges, net	(1,591.8)	(953.6)	(526.3)	(364.8)	(286.3)
Profit before taxation	**57.9**	**1,388.4**	**733.6**	**1,031.3**	**781.9**
Taxation	(129.3)	(472.2)	(251.1)	(327.5)	(257.7)
Net (loss)/profit for the year	**(71.4)**	**916.2**	**482.5**	**703.8**	**524.2**

The Secretary
Total Kenya Limited
P.O. Box 30736 - 00100
Nairobi.

I/WE ....

OF ....

Being a member of the above Company, hereby appoint: ....

OF ....

Whom failing ....

OF ....

or failing him, the Chairman of the Meeting, my/our proxy, to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held on Wednesday, 30 May 2012 and at any adjournment thereof.

As witness our/my hand this .... day of 2012

Signed .... Signed ....

Note:

1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his stead and a proxy need not be a member of the Company.

2. In the case of a member being a Limited Company this form must be completed under its common seal or under the hand of an officer or attorney duly authorised in writing.

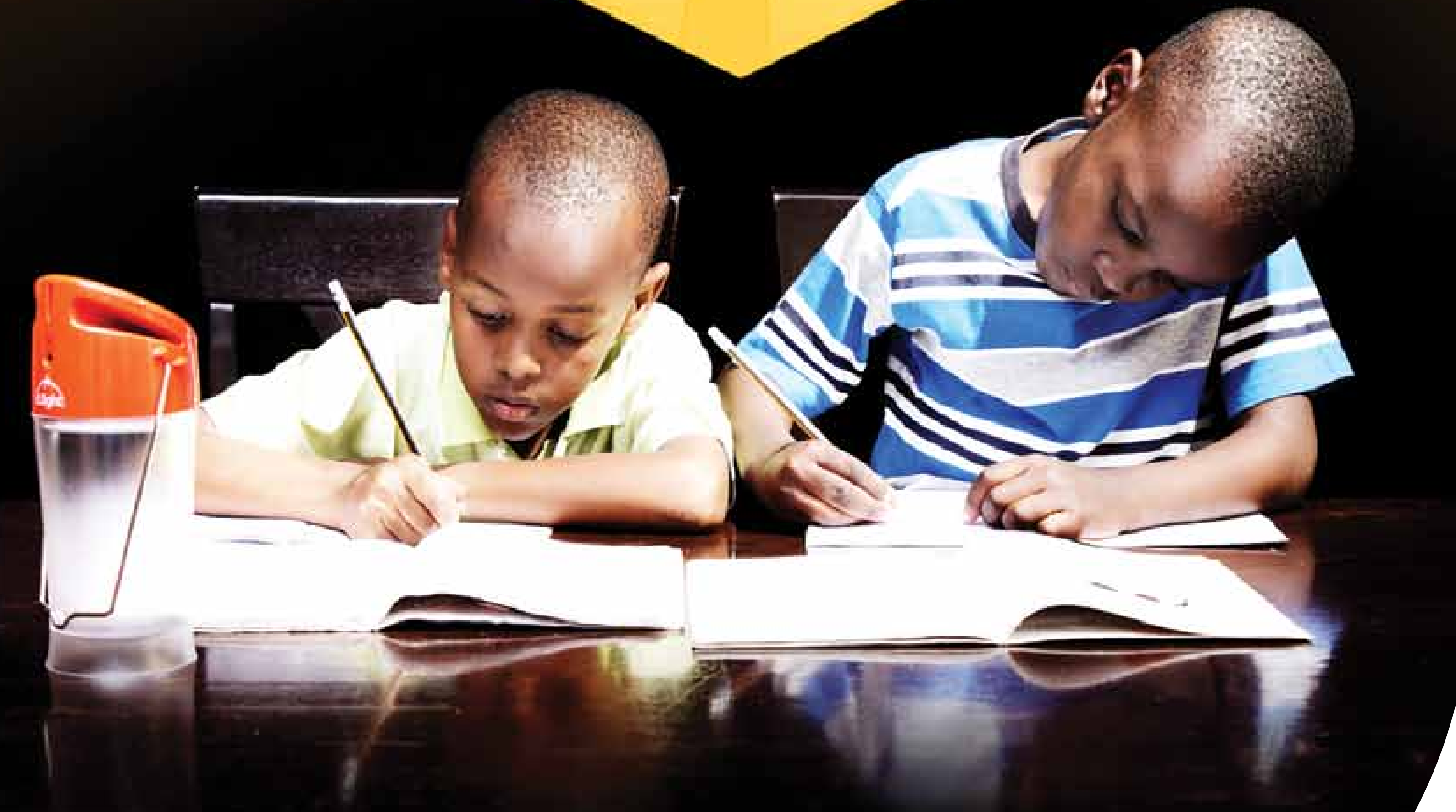
3. Proxies must be in the hands of the Secretary not later than 48 hours before the time of holding the meeting.

www.total.co.ke

TOTAL

SOLA

Beba stima bila bills!



Get Stima Straight From The Sun

TOTAL Sola is a new range of affordable, solar-powered lanterns distributed by TOTAL. They come complete with a solar panel, in built battery and energy saving bulb, from as little as Kes.999. What's more, TOTAL Sola lanterns feature a long bulb life and one year warranty for the battery. Guaranteed by TOTAL, one of the world's leading energy companies.

You know where to turn TOTAL

see you at

www.total.co.ke

Supply & Marketing
Total Kenya Limited
Regal Plaza, Limuru Road,
P.O. Box 30736, 00100 Nairobi.
Tel: (254-20) 289 7000
Fax: (254-20) 266 1767